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US Equity Strategy

US Equities Mid-Year Outlook: Déjà Vu All Over Again...with Some Twists

We raise our next twelve month S&P 500 price target to 8,300 driven by strong earnings—16% annualized EPS growth through our forecast horizon (2x the long-term median). Favor Industrials, the hyperscalers, Financials, and Discretionary Goods as the rolling recovery persists.

- Strong earnings facilitate a continuation of the rolling recovery:** This mid-year outlook builds on three themes we have emphasized since last year: running the economy/earnings cycle hot, public to private rebalancing, and a broadening of earnings and performance. Our view dating back to last spring has been that Liberation Day marked the trough of the rolling recession and the start of the rolling recovery. Over the next 12 months, we see the rolling recovery continuing to progress, driven by a strong earnings environment as positive operating leverage persists and is further enhanced by AI adoption. Resiliency in earnings data despite geopolitical risk, private credit concerns and AI disruption is supportive of our view. Specifically, 1Q EPS surprise for the median S&P 500 stock is 6%, the strongest it has been in 4 years, and S&P 500 earnings revisions breadth has accelerated higher since reporting season started (back up to 22% from 5% at the beginning of earnings season).
- Our mid-year 2027 S&P 500 price target is 8,300 (20.5x forward EPS of \$404):** We see 2026 EPS of \$339 (23% growth), 2027 EPS of \$380 (12% growth), and 2028 EPS of \$429 (13% growth). Positive operating leverage, AI adoption/"run it lean", improving pricing power and an AI capex cycle that continues to show momentum are key drivers of our constructive view on earnings. We continue to diverge from consensus in our call for a broadening in earnings growth and market leadership this year. While strength in S&P 500 EPS growth has been more widely discussed recently, S&P 1500 median stock forward EPS growth has also accelerated—now 12%; up from 8% at the start of the year. With the prospect of near-term Fed cuts fading based on market pricing/our economists' forecast, and the rolling recovery entering a more mature phase over the next 12 months, we see modest multiple compression (to 20.5x) from current levels (21.2x). In short, our bullish index view is an earnings story, not a multiple expansion one. The primary risks to our constructive stance are that our "run it hot" thesis leads to an inflationary impulse the Fed can't ignore and/or they underestimate how much capital the economy is using for investment and the rolling recovery, and we see tighter liquidity. Our year-end 2026 S&P 500 price target also moves higher to 8,000 from 7,800 previously—a reflection of earnings

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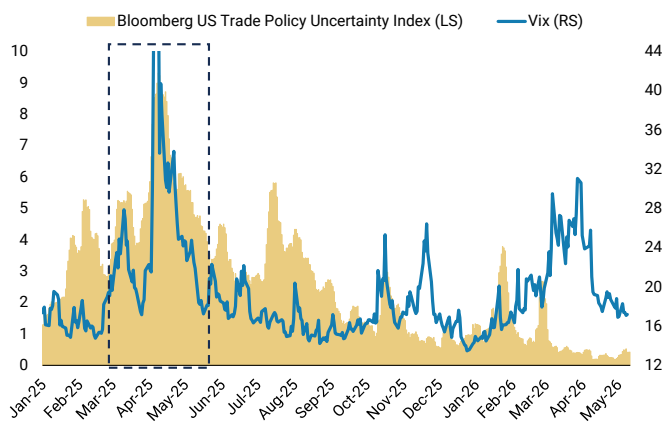
durability.

- **Sector/style recommendations:** We see cyclicals outperforming defensives, which is consistent with our rolling recovery/earnings acceleration thesis. Small cap earnings are inflecting higher (forward growth is 22%), but less accommodative than expected monetary policy in 2026 means small caps remain equal weight relative to large caps for the time being. In terms of sector preferences, we favor Industrials, Financials, and Consumer Discretionary Goods. We also continue to view the hyperscalers as an attractive relative value trade (strong forward earnings at undemanding valuation levels). We move Healthcare to equal weight as our sector positioning reflects a more economically-sensitive and less defensive posture. Screens in today's report include: cyclicals with strong EPS revisions, AI adopters with pricing power, stocks with high operational efficiency/Morgan Stanley Overweight ratings, among others.

Déjà Vu All Over Again...with Some Twists

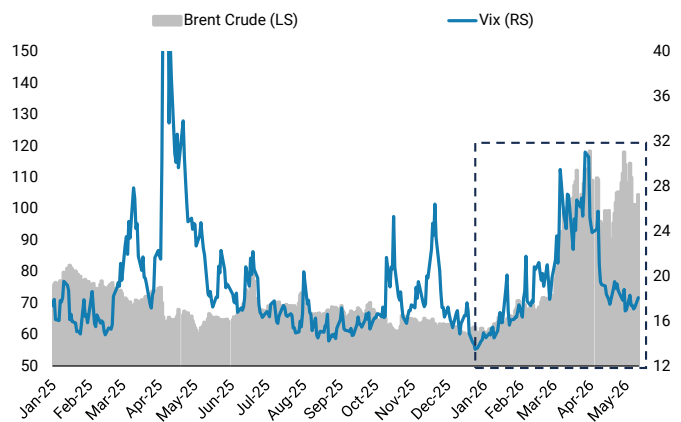
If the first half of this year feels familiar, it's because it is to some extent. In several respects, the path of equities over the past few months has followed a script we've seen many times—markets weakening under the surface well ahead of the headlines, many focusing on the “new” risk after prices have already adjusted, and sentiment deteriorating just as the forward setup is quietly improving. The main difference relative to last spring is where we are in the economic and earnings cycles.

Exhibit 1: Trade Policy Uncertainty Drove Volatility Early Last Year...



Source: Bloomberg, Morgan Stanley Research.

Exhibit 2: ...While A Spike in Oil Prices Drove It Earlier This Year...Starting in January



Source: Bloomberg, Morgan Stanley Research.

A year ago, we were coming out of the tail end of a rolling recession that was punctuated by a recession in the government sector (aka DOGE). Today, we are still in the early stages of a rolling recovery. That distinction is important when it comes to how one should interpret the correction we've just experienced and, more critically, how to position for what comes next. From our perspective, the key message at mid-year is straightforward and consistent with our messaging over the past several months: the correction we experienced was one within a well-established bull market.

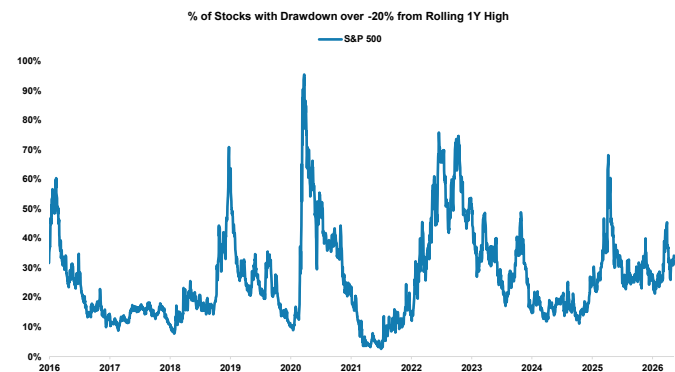
First, it's worth revisiting what has actually taken place beneath the surface of the market over the last few months. Much has been made of the fact that the S&P 500 decline was less than 10% on a price basis at the March lows. However, that view overlooks the more important adjustment that took place—namely, a significant reset on valuations and breadth. Roughly half of the stocks in the broader market (Russell 3000) experienced drawdowns of 20% or more, and the forward P/E multiple for the S&P compressed by 18% from its peak as forward earnings continued to surge even throughout the conflict (another hallmark of a bull market correction; [Exhibit 5](#)). That's not complacency, in our view, but a market that did a substantial amount of work to price in the numerous risks that appeared over the past 6 months—Iran war/oil spike, AI disruption and private credit concerns being the most significant. In the areas of the market more directly affected by these risks, we witnessed 40%+ corrections in many instances.

Exhibit 3: The Correction in S&P 500 Valuation Was Severe in a Historical Context—The Market Isn't Simply Looking Through The Risks; It Discounted the Risks



Source: FactSet, Morgan Stanley Research.

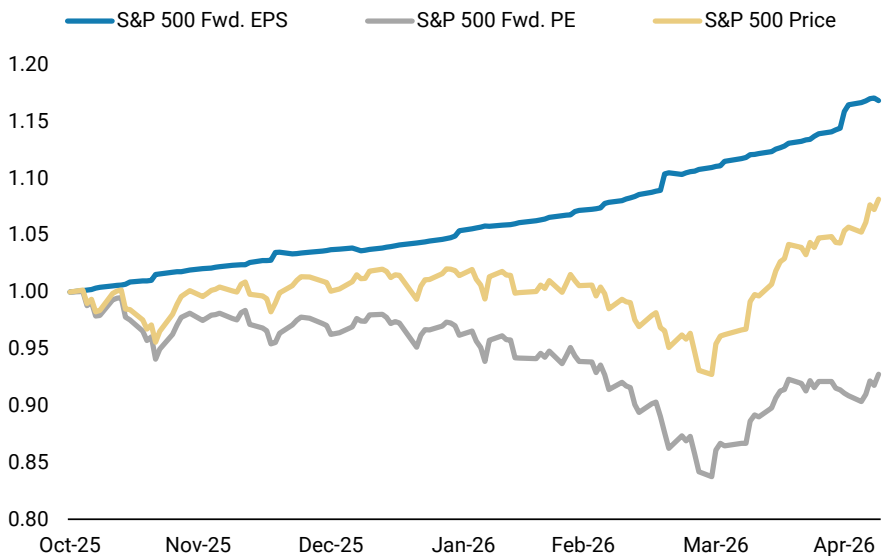
Exhibit 4: Breadth Was Also Poor, Further Suggesting Markets Were Quite Surgical in Pricing the Risks



Source: Compustat, Morgan Stanley Research.

Exhibit 5:

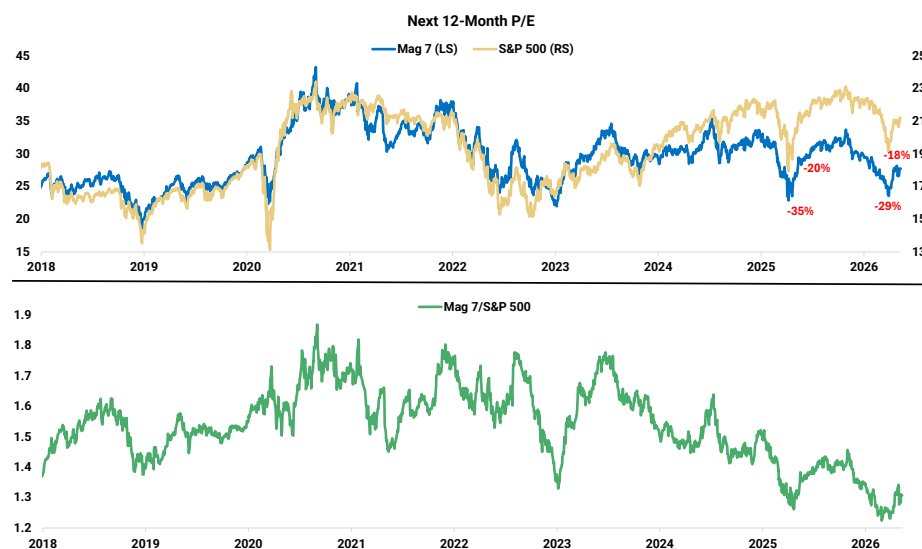
Earnings Have Been Resilient Amid Recent Risks



Source: FactSet, Morgan Stanley Research.

This argument is even stronger in the case of the hyperscaler/Mag 7 stocks which we upgraded near the end of the correction in early April. The valuation drawdown was more significant than it was at the index level, while forward earnings remained robust.

Exhibit 6: The Recent Correction in Valuation for the Mag 7 Was Much More Significant Than It Was for the S&P 500, Indicating the Market Is Far from Complacent—We Remain Constructive

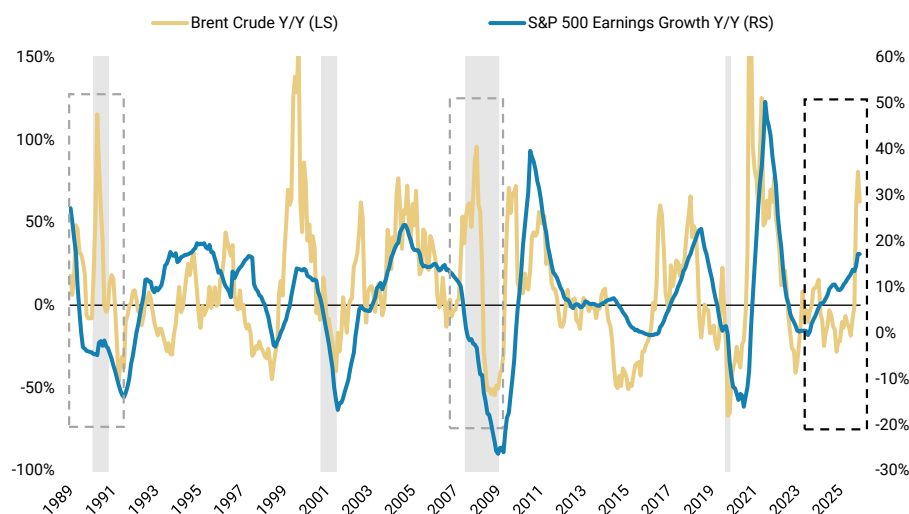


Source: FactSet, Morgan Stanley Research

We think it's worth focusing on time, valuation and price when evaluating the extent to which uncertainty/risks have been discounted. In terms of the recent drawdown, all 3 conditions were met, in our view. The correction began last fall as liquidity tightened and funding markets showed signs of stress. It progressed through the winter as concerns around AI disruption, private credit, and policy uncertainty weighed on sentiment. It then culminated at the end of March as geopolitical tensions and the spike in oil prices provided the final catalyst for capitulation in the primary indices. The natural question at the time was whether the spike in oil prices represented the type of late-cycle shock that has historically ended business cycles and led to recessions? Our answer was, and remains, "no."

The main reason comes back to earnings and our rolling recession-to-recovery thesis. In prior cycles where oil shocks derailed growth, earnings were already decelerating or contracting before the shock occurred. Today, the opposite is true. Earnings growth is accelerating from already well above average levels, supported by a combination of operating leverage, improving demand, capital spending and structural tailwinds like AI-driven efficiency gains.

Exhibit 7: This Has Looked Very Different Than Prior Episodes Where An Oil Spike Ended the Business Cycle—Earnings Growth Accelerating Today vs. Decelerating/Negative in Historical Instances



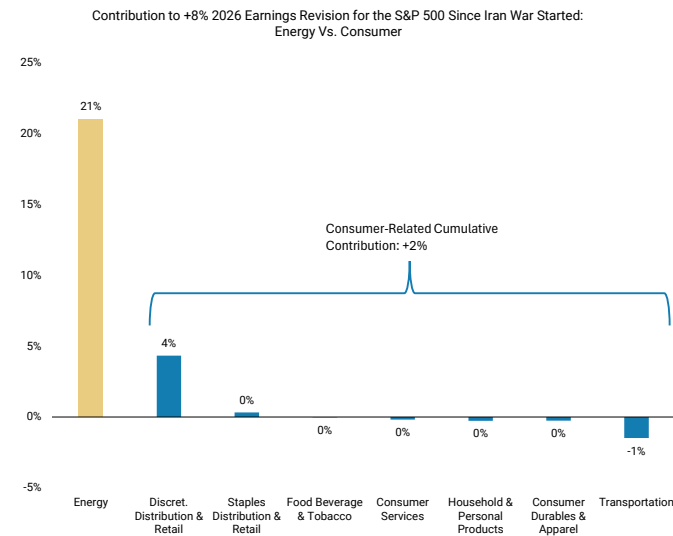
Source: FactSet, Morgan Stanley Research.

The magnitude of the oil move itself is also less significant than in those historical episodes (which were 100%+ year-over-year), both in nominal and real terms. Adjusting for the CPI, US gasoline prices are materially lower than where they were after the Russia/Ukraine conflict started, and oil spiked to similar levels ([Exhibit 10](#)). Relative to the price of gold (another proxy for broad inflation), gasoline is even cheaper today and close to a 20-year low.

We would also argue that the global economy is more resilient than many assume, with a proven ability to navigate supply disruptions more effectively than expected. In our view, this situation is unlikely to be different, as market participants adjust logistics and identify alternative solutions and even substitution. Recall that nearly 4 years ago, following the destruction of the Nord Stream pipeline, Germany was able to construct LNG facilities within months—an outcome widely considered unlikely at the time—reinforcing the idea that necessity drives innovation. We would not underestimate that same flexibility today. Finally, there is likely some demand destruction as well which will help to balance the market.

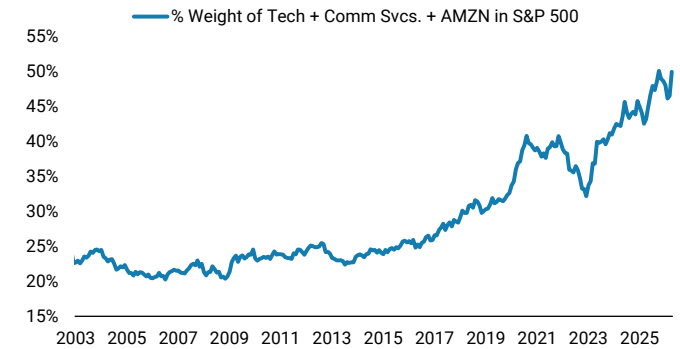
Cost impacts from the Iran conflict are likely to be felt idiosyncratically vs. at the index/sector level since: the higher-end consumer remains strong, the Energy sector is now a notable positive contributor to EPS growth/revisions this year ([Exhibit 8](#)) amid higher oil prices, and commodity hedging/inventory practices differ at the company level. Today's index composition (50% Tech; [Exhibit 9](#)) is also more insulated, contributing to this dynamic.

Exhibit 8: Consumer Earnings Expectations Have Not Been Impacted by the Iran War Overall, While Positive Energy Revisions Have Been A Notable Tailwind



Source: FactSet, Morgan Stanley Research.

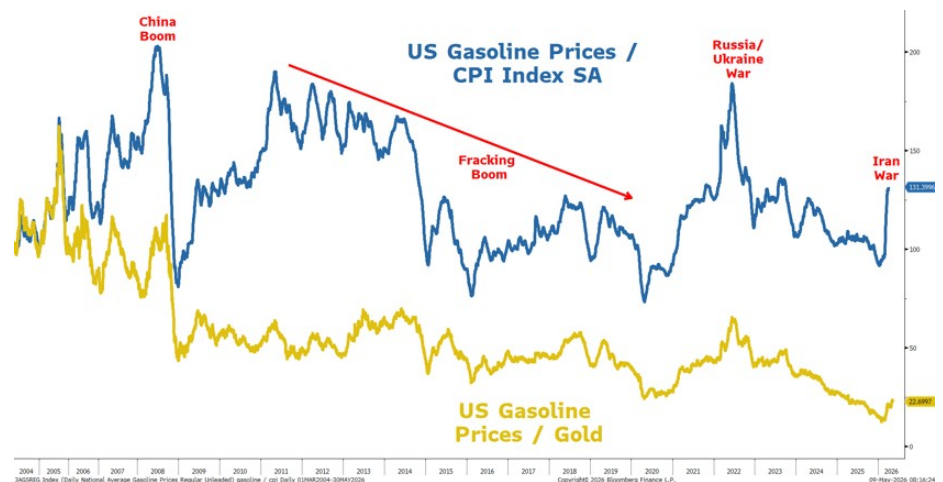
Exhibit 9: With a ~50% TMT Weight and Secular Growth Tailwinds, S&P Performance/Earnings Are More Insulated from Iran-Related Pressures



Source: Compustat, Morgan Stanley Research.

In short, the bar for an oil-driven recession/significant growth scare is much higher in the current environment than in prior oil price shocks. It would likely require not just a sustained move in crude above \$130-150 per barrel, but also a meaningful deterioration in earnings trends—neither of which we see as our base case.

Exhibit 10: Gasoline Prices in Real Terms Are Well Below the Levels Seen Post the Start of the Russia/Ukraine War and Pre-GFC



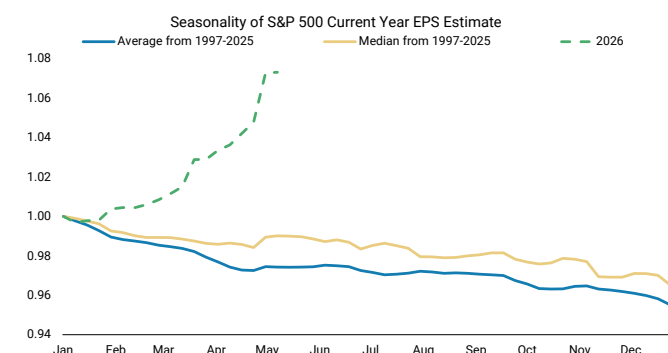
Source: Bloomberg, Morgan Stanley Research.

As discussed for the past 12 months and dating back to our last mid-year outlook, the main driver of our constructive view on US equities is a rebound in earnings growth. We see this continuing throughout our forecast horizon as detailed in this report. Recent earnings results are supportive of our stance, and we're encouraged by the resiliency displayed this reporting season despite the geopolitical backdrop. [Exhibit 11](#) shows the fairly unprecedented acceleration of current year EPS expectations relative to the typical seasonal/historical trend. Further, revenue surprise is robust at ~2% (versus a historical

average of 1.3%). This, coupled with higher ISM Manufacturing Prices, indicates that pricing power continues to improve for corporates.

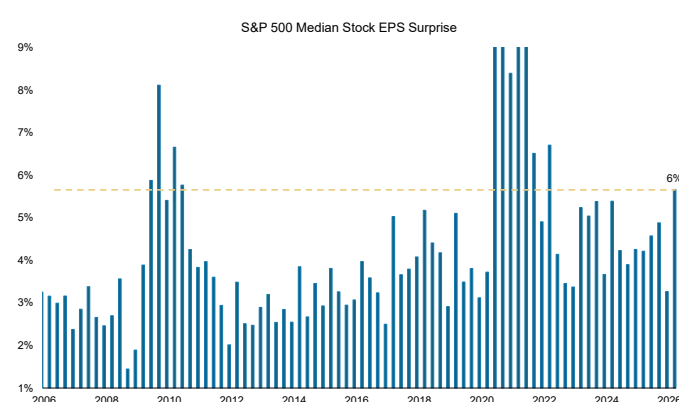
While hyperscaler and semiconductor revenue/earnings revisions have been major contributors to this durability, and recent results bolster that dynamic (hyperscalers seeing acceleration in cloud + solid backlogs), the strength is not limited to these cohorts. Specifically, 1Q EPS surprise for the median S&P 500 stock is 6%, the strongest it has been in 4 years ([Exhibit 12](#)), and S&P 1500 median stock forward EPS growth has also accelerated—now 12%; up from 8% at the start of the year. In addition, S&P 600 Small Cap Index forward EPS growth is 22%, up from 8% at the start of the year. Furthermore, S&P 500 earnings revisions breadth has accelerated higher since reporting season started (back up to 22% from 5% at the beginning of earnings season) driven by cyclical cohorts ([Exhibit 13](#) and [Exhibit 14](#)).

Exhibit 11: Upward Revision to 2026 EPS Estimate Is Fairly Unprecedented



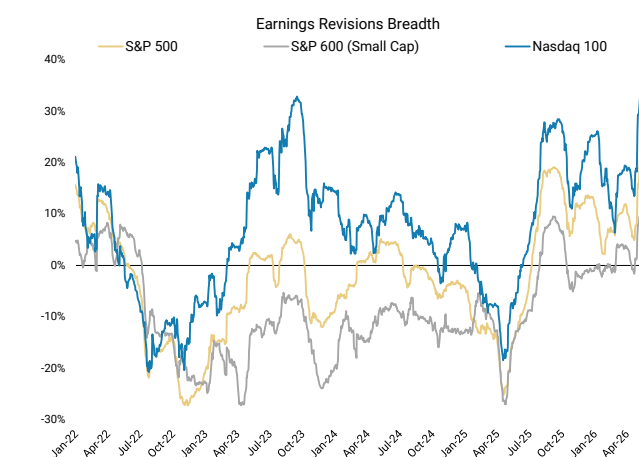
Source: FactSet, Morgan Stanley Research.

Exhibit 12: Median Stock EPS Surprise Is At a 4-Year High in 1Q Reporting Season



Source: FactSet, Morgan Stanley Research.

Exhibit 13: Earnings Revisions Breadth Re-Accelerating...



Source: FactSet, Morgan Stanley Research.

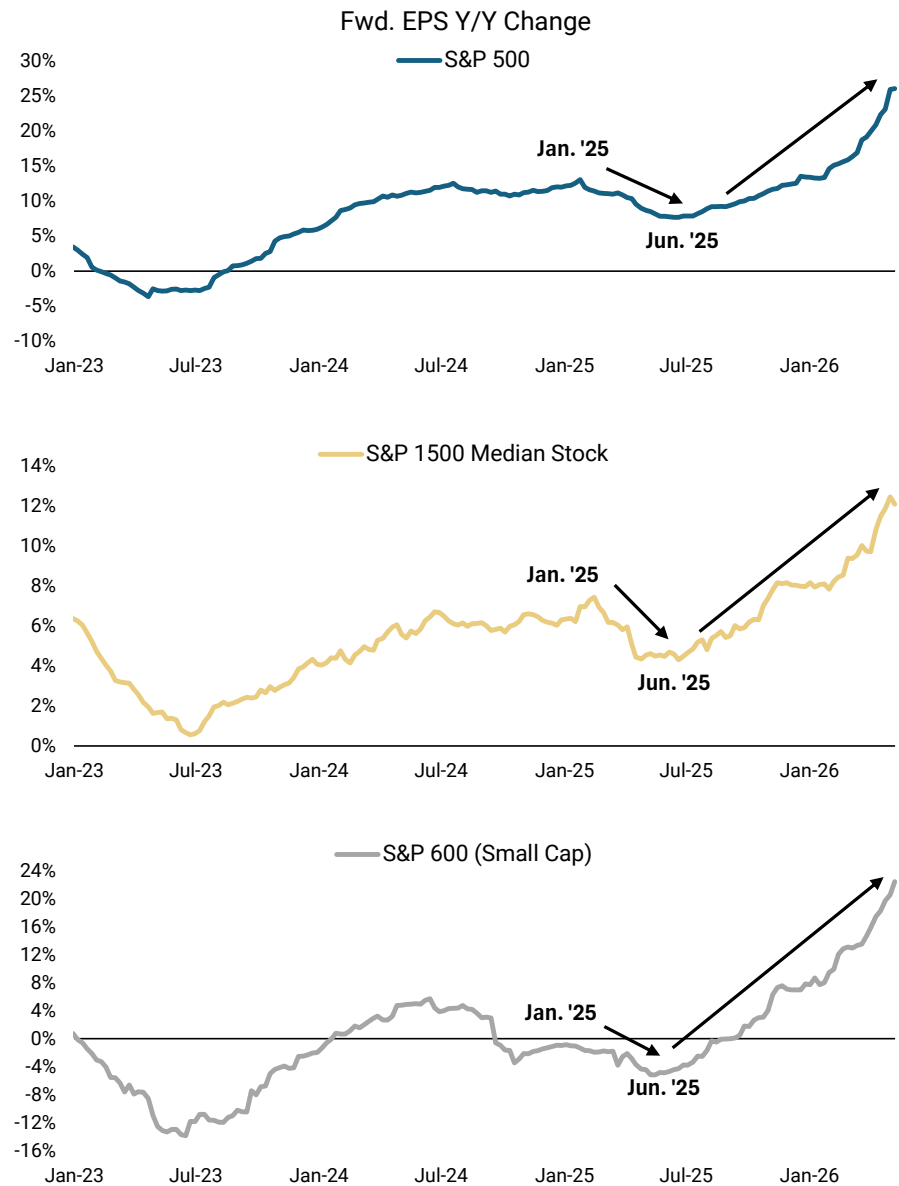
Exhibit 14: ...With Broad Participation Under the Surface of the Market

Sector Drivers of Earnings Revisions Breadth	
Sector	2-Week Change
Information Technology	24%
Industrials	19%
Consumer Staples	18%
Materials	18%
Communication Services	16%
Real Estate	13%
Consumer Discretionary	12%
Health Care	10%
Financials	8%
Energy	1%
Utilities	-2%

Source: FactSet, Morgan Stanley Research.

Exhibit 15:

Forward Earnings Broadly Accelerating

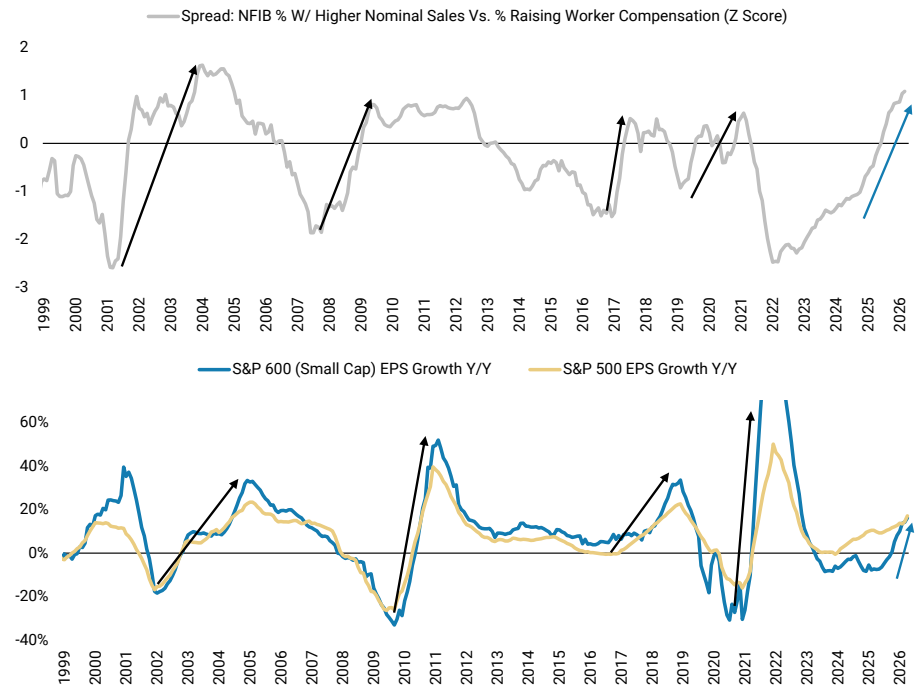


Source: FactSet, Morgan Stanley Research.

Operating leverage has and continues to play a major role in the earnings rebound we've been focused on for the last year. Much of this has been driven by compressed cost structures amid a deceleration in the second derivative on compensation expense since the end of 2021. This is a classic early cycle dynamic, and not surprising to us given our rolling recovery view. More recently, AI is helping to facilitate this operating leverage and efficiency dynamic, and we expect this to continue in a more material way over a structural time horizon. As our economists recently [showed](#), output per employee is picking up in "high-AI exposure" industries ([Exhibit 17](#)). Further, our systematic transcript analysis shows that companies are increasingly quantifying the benefits they are seeing from AI Adoption. Among the S&P 500, 25% mentioned at least one quantitative impact in 1Q26, up from 13% in 1Q25 ([Exhibit 18](#)). While gains have been broad, Technology and Financials lead the pack. Another effect of AI is that companies know operational change/

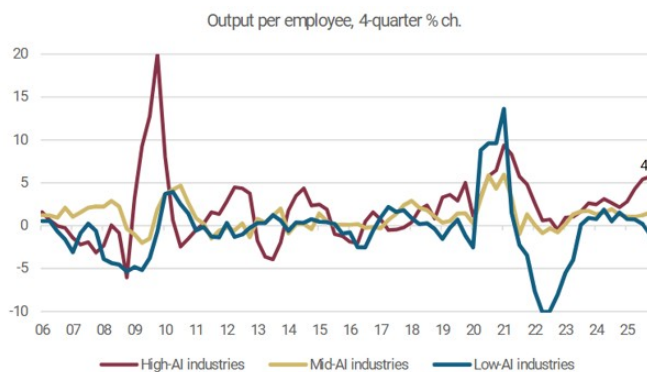
efficiencies are coming and want to get leaner on labor even in advance of full implementation of AI applications. This is leading to less hiring rather than firing but is having a positive impact on the bottom line as revenue growth firms.

Exhibit 16: Positive Operating Leverage Is Driving A Rebound in Earnings Growth



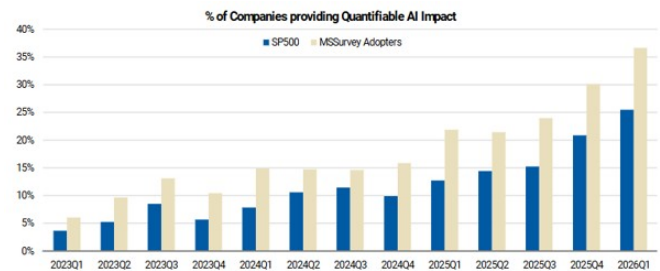
Source: FactSet, Haver Analytics, Morgan Stanley Research.

Exhibit 17: In Industries with High AI Exposure, Output Per Employee Rose Faster in 2025, and Accelerated More Than in Other Industries



Source: BEA, BLS, Morgan Stanley Economics Research.

Exhibit 18: Discussions of Quantifiable Benefits from AI Are Rising

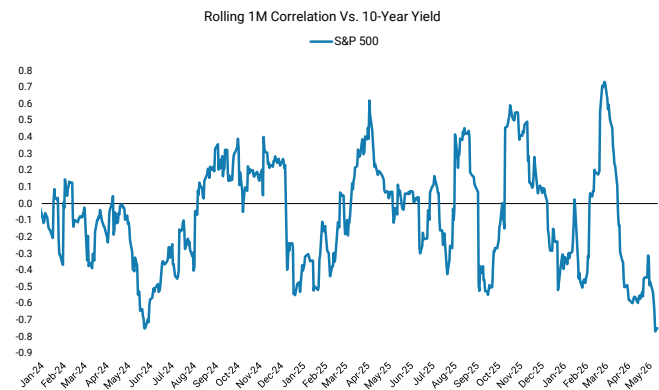


Source: Morgan Stanley Research. Please note, companies mentioning multiple quantifiable benefits from AI are only counted once in this chart.

That's not to say there aren't any risks. The difference today is that many of them were surgically priced, and the ones that remain are increasingly centered on policy rather than fundamentals. If there has been a meaningful evolution in our thinking since the start of the year, it is the recognition that central bank policy has shifted in a less dovish direction. The surge in commodity prices and overall strength in economic activity (particularly capex) has understandably refocused policy makers on inflation rather than growth, leading to a repricing of rate expectations and a tightening of financial conditions in the rates channel. This, in turn, has driven the re-emergence of a negative correlation between

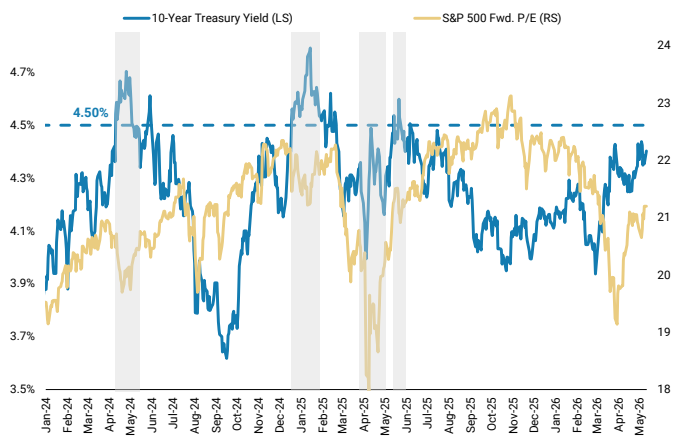
equities and bond yields.

Exhibit 19: Short-Term Stock/Yield Correlation Is Negative—Rate Sensitivity High for Stocks



Source: Bloomberg, Morgan Stanley Research

Exhibit 20: 4.50% Has Been An Important Level As A Breach Above Has Led to Multiple Compression Historically—Worth Watching from a Risk Standpoint



Source: Bloomberg, Morgan Stanley Research

The market has had to grapple with the possibility that central banks may remain restrictive for longer than expected—i.e., the policy choices are currently skewed toward inflation, rather than growth risks. While the Fed is now in the transition period to a new Chair, Kevin Warsh also alluded to a patient approach around further rate cuts at his Senate confirmation hearing. The good news is that we don't need rate cuts to achieve our multiple target which is slightly below current levels. History is supportive in this sense as our backtest shows that multiple expansion is fairly uncommon in periods where the Fed is on hold and earnings growth is strong, but price returns are quite robust in this outcome, driven by resilient EPS growth—the historical median performance in these prior periods is 14%. Furthermore, revenue growth is positively correlated to goods inflation over time ([Exhibit 23](#)). Thus, rising pricing power (i.e., inflation) as a result of strengthening demand is a positive tailwind for equities as long as it's not a driver of a Fed hiking cycle, which isn't our view over the next 12 months.

Exhibit 21: S&P Tends to See Modest Multiple Compression When EPS Growth Is Strong and The Fed Is on Hold...

S&P 500 Fwd. P/E 12M Rate of Chg. in > Median EPS Growth + Neutral* Fed Policy Environments	
Avg.	-1.8%
Median	-3.3%
Positive Hit Rate	31%
Max	36.3%
Min	-22.3%

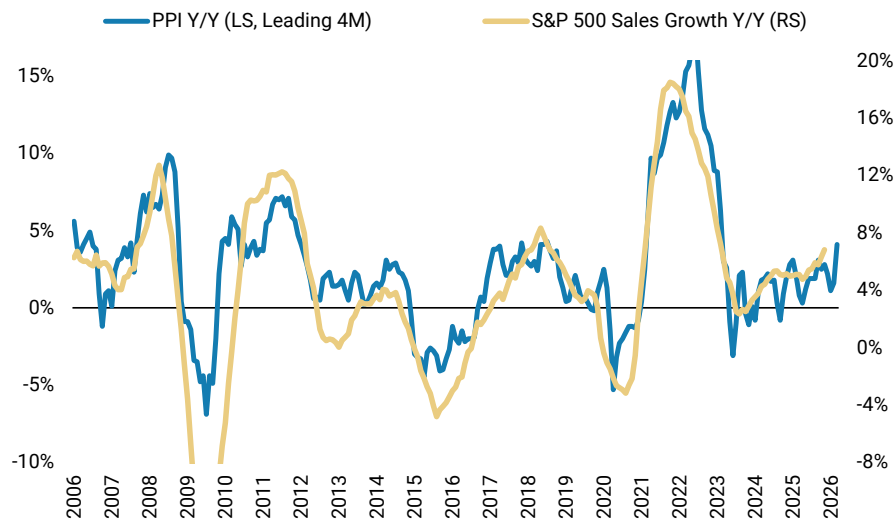
Source: FactSet, Bloomberg, Morgan Stanley Research; excludes recessions and the 1 month before recessions. *12M rate of change on fed funds is flat.

Exhibit 22: ...While Price Returns Are Very Strong Driven by Earnings Resiliency

S&P 500 Price 12M Rate of Chg. in > Median EPS Growth + Neutral* Fed Policy Environments	
Avg.	16.3%
Median	14.0%
Positive Hit Rate	92%
Max	45.5%
Min	-2.6%

Source: FactSet, Bloomberg, Morgan Stanley Research; excludes recessions and the 1 month before recessions. *12M rate of change on fed funds is flat.

Exhibit 23:
Inflation Is Positively Correlated to Revenue Growth Over Time, Which Is Why Equities Are an Inflation Hedge in a Strong Growth Backdrop



Source: Bloomberg, Morgan Stanley Research.

It's also important to recognize that this risk around the Fed's reaction function is inherently self-correcting. Financial conditions can only tighten so much before they begin to impact the real economy and, ultimately, force a response from policy makers. Bond volatility, funding stress, and liquidity conditions are the variables to watch in this regard. We have already seen early signs of this dynamic at work, with the Fed and other central banks showing a strong willingness to adjust their balance sheet policies, when necessary. More specifically, when funding markets showed stress last fall, the Fed reacted by ending quantitative tightening earlier than expected and then restarting asset purchases in December. These asset purchases continue today even with funding market stress now absent. Second, when bond volatility increased in March with the spike in oil prices, the Treasury was quick to act with its bond repurchase program. More specifically, the Treasury has bought approximately \$100-125 in the last 2 months focusing its actions on the 10-30 year tenor relative to issuance. This has helped reduce bond volatility and had a positive impact on liquidity and equity multiples, in our view. There is nothing to suggest these activities (Fed's RMPs and Treasury buybacks) won't continue into the future, under the labeling of financial market stability.

Exhibit 24: Treasury Buybacks Since 2024

All Treasury Buyback Results from 5/29/24 to 5/1/26						
Operation Type	Maturity Sector	Total Number of Operations	Total Par Amount Offered (\$bn)	Total Purchase Maximum (\$bn)	Total Par Amount Purchased (\$bn)	Buyback Ratio (Min Avg Max)
Cash Management	1Mo to 2Y	23	604	222	212	1.4 2.8 5.2
	1Mo to 2Y	7	241	26	26	6.9 9.2 17.3
	2Y to 3Y	8	65	30	17	1.2 2.3 4.4
	3Y to 5Y	8	92	30	26	2.4 3.0 3.7
	5Y to 7Y	8	52	30	15	1.0 1.8 3.2
Liquidity Support	7Y to 30Y	8	39	30	3	0.8 1.3 2.6
	10Y to 20Y	20	404	40	40	3.2 10.1 18.0
	20Y to 30Y	21	414	42	39	1.9 9.9 18.2
	TIPS 1Y to 7.5Y	14	47	8	7	1.7 5.6 8.7
	TIPS 7.5Y to 30Y	12	16	6	3	1.5 2.6 4.1
Total		129	1972	464	389	0.1 0.6 1.0

Source: US Treasury, Morgan Stanley Research.

Exhibit 25: Treasury Buybacks Have Kept Bond Vol Lower and P/E's Supported



Source: Bloomberg, Morgan Stanley Research.

It's also worth addressing the broader policy framework we laid out in our year-ahead outlook, which remains intact. In short, the Trump administration's policy objectives center on a simultaneous three-pronged rebalancing of the economy:

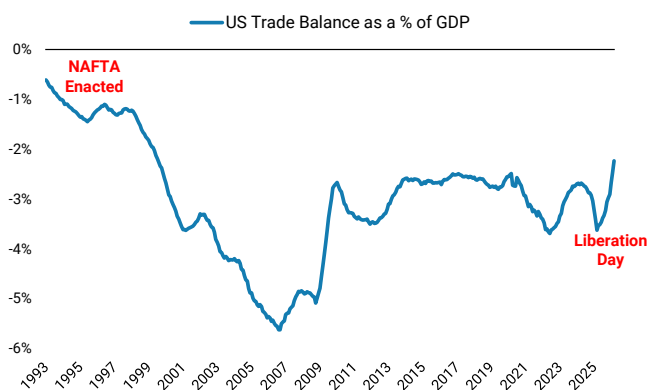
The Triple Rebalancing:

- **Current / Trade Accounts**—The "International" Imbalance
 - Policy: Tariffs / Weaker USD
- **Over-Consumption and Under-Investment**—The "Domestic" Imbalance
 - Policy: Tariffs / Weaker USD and OBBBA Tax Incentives for Capex/Reshoring
- **The K-Economy**—The "Inequality" Imbalance
 - Policy: Immigration Policy and De-Regulation

In our view, the end goal is the same as the prior administration's—to grow out of the debt problem—but the approach is focused on companies making the capital allocation decisions, rather than the government, while increasing income through the wage channel rather than open borders and subsidies. The result is higher nominal GDP growth with a greater contribution from real GDP via higher productivity and earnings (both corporate and personal).

We believe there is now evidence that this rebalancing is happening. First, the trade deficit is down materially year-over-year, albeit against very easy comparisons from last year's stocking up ahead of Liberation Day. Nevertheless, as a percentage of GDP the trade deficit has improved over the past 18 months. Second, fixed investment is up sharply since the Big Beautiful Bill was passed last year, and March saw another upside surprise to factory orders in spite of all of the concerns cited above. US businesses are moving forward with capital spending plans as if war-related concerns are temporary or immaterial to their capital allocation decisions that are likely being driven more by the new policies in place and a need to adapt to a new world order of Multi-polarity / "Don"roe Doctrine and De-globalization.

Exhibit 26: US Trade Deficit Has Started to Normalize with A Long Way to Go



Source: Bloomberg, Morgan Stanley Research. Trailing 12M sum as a percent of annualized GDP. 4Q GDP used for Jan and Feb data points.

Exhibit 27: Mfg/Factory Orders are Strengthening



Source: Bloomberg, Morgan Stanley Research.

While the K-economy is still plagued by the affordability crisis, we are starting to see subtle shifts in the wage channel with real wage growth stabilizing/improving at the low end for services jobs or work that requires real physical skills. While there is still a long

way to go here for the average American to feel like they are getting ahead, the policy changes provide a more productive path as wage increases are preferable to subsidies from an economic standpoint. Meanwhile, AI is likely to weigh on wages in the white-collar world, which is arguably necessary to rebalance the inequality imbalance. While the recent University of Michigan consumer confidence data continues to show a consumer under pressure, we would submit that forward returns in equities from such low levels are typically strong. Secondly, when one looks at the y/y change in the current conditions metric, it lines up with the y/y change in the *real* price of the S&P 500. Both appear to be stabilizing and may look very different by the end of the year, which is what stocks may be contemplating.

Exhibit 28: "Real" SPX Appears to Have Made a Cyclical Bottom on Iran War



Source: Bloomberg, Morgan Stanley Research

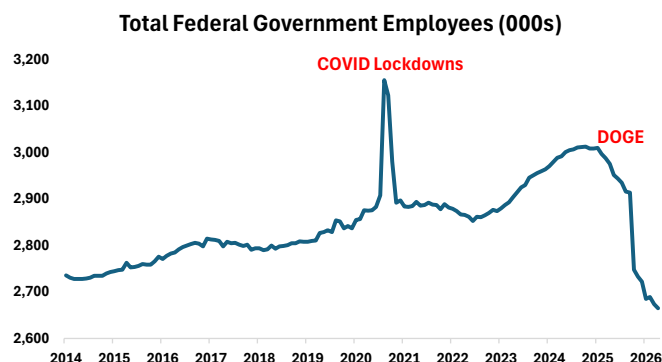
Exhibit 29: Y/Y Change in Consumer Confidence Is Closely Aligned with Real SPX



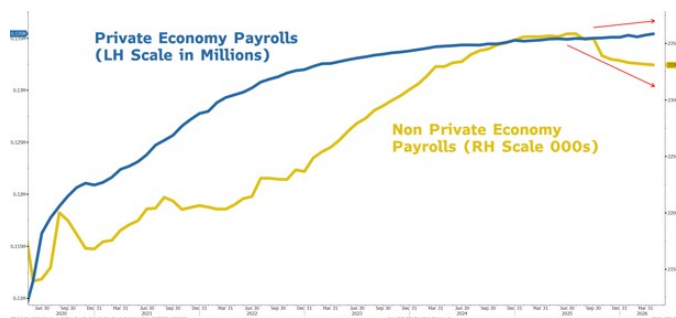
Source: Bloomberg, Morgan Stanley Research

Finally, we would like to re-introduce a 4th pillar to our rebalancing thesis: more economic growth via the private economy, rather than the government. On this front, we would note that DOGE did have a major impact on the number of federal government employees, which saw a sharp 10% fall y/y, taking Federal government payrolls to its lowest level in several decades. Second, the non-farm payroll data for March and April showed a 190k and 123k increase in private payrolls, respectively. Meanwhile, non-private jobs continued to decrease in both months. This may be an early indicator that this rebalancing back toward the private economy is beginning in earnest. Immigration changes may also raise real income growth for types of work not likely to be replaced by AI anytime soon—i.e., service workers in hotels, restaurants and workers in agriculture, landscaping and construction. While some might lament this dynamic as inflationary, we would argue this is the kind of inflation we need to rebalance many of the inequities over the past several decades. It could also help to alleviate some of the heightened concern we hear about how labor is going to be completely marginalized by AI.

Our rebalancing thesis is starting to play out and underlies our more bullish view than most on where the economy will be in 6 months. We think the market understands this dynamic, which is another reason why the rally has been so powerful over the past 6 weeks.

Exhibit 30: DOGE's Impact on Government Payrolls

Source: Bloomberg, Morgan Stanley Research.

Exhibit 31: Recent Labor Data Suggest *Private Economy* Is Driving the Growth Now

Source: Bloomberg, Morgan Stanley Research.

Bottom line, as we look out over the next 6–12 months, we remain constructive on US equities, with our base case calling for the S&P 500 to reach 8,300 assuming a continuation of the current earnings strength as the main driver of index level upside. The path to that target may not be smooth, but the direction of travel, in our view, is higher. In other words, investors should be prepared to take advantage of pullbacks/choppiness along the way as opportunities to add length not only in the index but to areas of the market that have not yet reflected the strength in earnings (i.e., Industrials, Financials, the hyperscalers, Consumer Cyclical).

Forecast Update

Strong earnings facilitate a continuation of the rolling recovery. This mid-year outlook builds on three themes we have emphasized since last year: running the economy/earnings cycle hot, public to private rebalancing, and a broadening of earnings and performance. Our view dating back to last spring has been that Liberation Day marked the trough of the rolling recession and the start of the rolling recovery. Over the next 12 months, we see the rolling recovery continuing to progress, driven by a strong earnings environment as positive operating leverage persists and is further enhanced by AI adoption. Resiliency in earnings data despite geopolitical risk, private credit concerns and AI disruption is supportive of our view. Specifically, 1Q EPS surprise for the median S&P 500 stock is 6%, the strongest it has been in 4 years, and S&P 500 earnings revisions breadth has accelerated higher since reporting season started (back up to 22% from 5% at the beginning of earnings season).

Our mid-year 2027 S&P 500 price target is 8,300 (20.5x forward EPS of \$404). We see 2026 EPS of \$339 (23% growth), 2027 EPS of \$380 (12% growth), and 2028 EPS of \$429 (13% growth). Positive operating leverage, AI adoption/"run it lean", improving pricing power and an AI capex cycle that continues to show momentum are key drivers of our constructive view on earnings. We continue to diverge from consensus in our call for a broadening in earnings growth and market leadership this year. While strength in S&P 500 EPS growth has been more widely discussed recently, S&P 1500 median stock forward EPS growth has also accelerated—now 12%; up from 8% at the start of the year. With the prospect of near-term Fed cuts fading based on market pricing/our economists'

forecast, and the rolling recovery entering a more mature phase over the next 12 months, we see modest multiple compression (to 20.5x) from current levels (21.2x). In short, our bullish index view is an earnings story, not a multiple expansion one. The primary risks to our constructive stance are that our "run it hot" thesis leads to an inflationary impulse the Fed can't ignore and/or they underestimate how much capital the economy is using for investment and the rolling recovery, and we see tighter liquidity. Our year-end 2026 S&P 500 price target also moves higher to 8,000 from 7,800 previously—a reflection of earnings durability.

Sector/style recommendations: We see cyclicals outperforming defensives, which is consistent with our rolling recovery/earnings acceleration thesis. Small cap earnings are inflecting higher (forward growth is 22%), but less accommodative than expected monetary policy in 2026 means small caps remain equal weight relative to large caps for the time being. In terms of sector preferences, we favor Industrials, Financials, and Consumer Discretionary Goods. We also continue to view the hyperscalers as an attractive relative value trade (strong forward earnings at undemanding valuation levels). We move Healthcare to equal weight as our sector positioning reflects a more economically-sensitive and less defensive posture.

Exhibit 32: S&P 500 Forecasts

	Current Price	MS Next 12M Price Target	MS Next 12M Price Target % to Current	Current P/E	MS Next 12M P/E Target	MS Top Down EPS Estimates				Bottom Up Consensus EPS Estimates			
						2026	2027	June 2028	2028	2026	2027	June 2028	2028
Bear Growth	7,399	5,900	-20%	21.2x	19.0x	\$299	\$300	\$311	\$322	\$333	\$383	\$405	\$427
						9%	0%	4%	7%	21%	15%	13%	12%
Base Growth	7,399	8,300	12%	21.2x	20.5x	\$339	\$380	\$404	\$429	\$333	\$383	\$405	\$427
						23%	12%	13%	13%	21%	15%	13%	12%
Bull Growth	7,399	9,400	27%	21.2x	21.0x	\$352	\$416	\$448	\$480	\$333	\$383	\$405	\$427
						28%	18%	17%	16%	21%	15%	13%	12%

Source: FactSet, Morgan Stanley Research.

Bull Case Scenario

In our bull case scenario (9,400 price target), earnings expansion exceeds what we assume in the base case. We model EPS growth of 28% in 2026, 18% in 2027, and 16% in 2028. The upside is driven by a more pronounced operating leverage story. This is supported by AI-driven productivity gains achieved by companies running it hot, too. In some cases, the productivity is driven by AI directly and indirectly as companies hire less in advance of the technology being fully implemented. This drives margin expansion alongside stronger revenue growth, which is underpinned by resilient demand across AI infrastructure plays and more pro-cyclical areas (i.e., transports, chemicals, consumer, etc.). A resolution to the Iran conflict is reached in the near-term, allowing oil prices to fall back to pre-war levels, and cost risks related to fertilizer, petrochemicals, and other key commodities (i.e., sulphur) are mitigated quickly. The associated relief in gasoline prices plus improvement in real wage growth for lower income consumers leads to a shift in the bifurcated nature of the k-shaped economy as lower income consumers catch up and drive overall consumption. Corporates have no issue passing through higher prices to end markets/consumer, yet this inflation does not show up in core CPI/PCE in a way that causes the Fed to hike rates. Importantly, our bull case is also an earnings story, not a multiple expansion story (multiple remains flat at 21x in our bull case); the differentiation between the 2 scenarios comes down to degree of earnings growth upside driven by the aforementioned factors.

From a policy perspective, the Fed refrains from hiking rates at least through mid-year

next year even as growth runs hotter as lagging services and housing inflation keep a lid on core CPI/PCE. New Fed Chair Kevin Warsh does not wind up being hawkish on the balance sheet through mid-2027, and the Fed/Treasury even provide additional liquidity through RMPs and buybacks. Back-end rates and bond volatility stay contained via a lack of back-end issuance. On the fiscal policy front, bonus depreciation and immediate R&D expensing further catalyze a broad-based capex rebound, benefiting industrials, technology, and commodities. Loan growth and capital markets activity exceeds expectations and private credit risks remain contained/limited. International demand for U.S. equities is strong amid superior earnings growth and structural advantages, while retail participation remains robust as capital rotates out of money market funds and into equities. The U.S. dollar weakens more than in our base outlook, as narrower front-end rate differentials outweigh demand for dollar assets, providing an additional tailwind for multinational earnings.

Bear Case Scenario

Our bear case scenario (5,900) assumes that the Fed has to lean in a more hawkish direction on rates as a result of inflationary pressures that return. Inflation in this scenario would be driven by a combination of strong, preceding demand, the fiscal impulse, lagging tariff impacts, and energy price pass through—running it hot has negative repercussions. In addition to rate hikes, the Fed under new leadership from Kevin Warsh also gets more hawkish on asset holdings, laying out plans to shrink the size of the balance sheet. Valuation de-rates by ~2-turns as bond volatility and funding market stress rises. Earnings growth also slows materially as back-end yields rise toward/through 5% without Treasury buybacks and RMP action, and act as a headwind for demand/top line and capex into 2027. In other words, this setup shares similarities with 2022: while the economy avoids a formal recession, earnings come under pressure due to higher rates—aka, Fire and Ice as the hotter but shorter cycle ends. In this backdrop, higher-beta and longer-duration equities are likely to lag. This scenario is very unlikely to play out before year end but ironically its probability increases if our bull case plays out in the 2H of this year and an inflation impulse lags a historic demand recovery.

A Broadening Capex Cycle Remains Underappreciated

We entered 2026 with a view that the capex cycle was gaining momentum as a result of 3 tailwinds—(1) a strong EPS backdrop from the rolling recovery (earnings/capex cycles are positively correlated), (2) tax incentives from the OBBBA and (3) the structural support from the AI data center build-out and manufacturing renaissance (reshoring / "Don"roe Doctrine). Early indications on this front are supportive with median stock capex growth running 5-10%, and our factor work continuing to show that the market is rewarding high capex/sales on an equal weighted basis. These tailwinds are likely to stay with us in 2026. We believe Multi-Industry remains the best pure-play across these themes, while Regional Banks are an underappreciated winner amid a C&I loan growth inflection. See our Trade Ideas section for more.

In tandem with this theme, there has been a lot of focus on "hard/heavy asset, low obsolescence" (HALO) areas of the market recently as these stocks have been seen as

relatively insulated from AI disruption. While these cohorts indeed outperformed while the market was focused on AI disruption earlier this year, their relative strength is not new. In fact a number of these groups like Multi-Industry and Materials/Metals showed outperformance dating back to 2025. In our view, this outperformance has more to do with the broadening of the capex cycle in an early cycle backdrop than anything else, though rotation away from areas perceived to be AI-disrupted has played a role more recently.

Exhibit 33: Capex Growth Accelerating

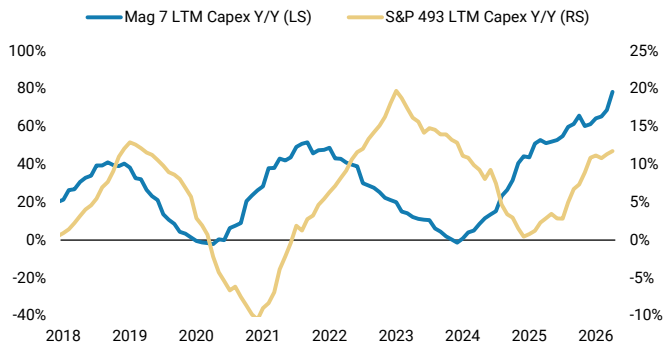


Exhibit 34: And High Capex/Sales Is Being Rewarded Across the Market

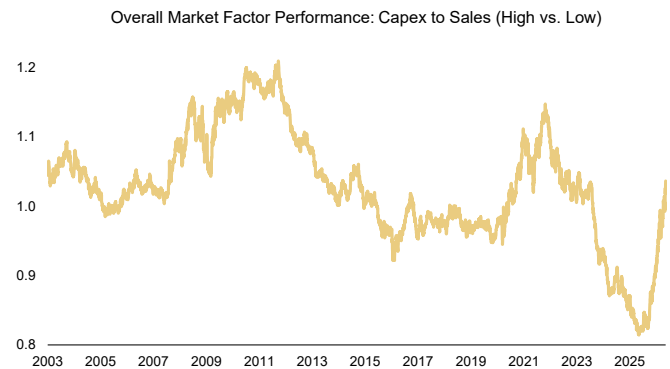


Exhibit 35: ISM Manufacturing Is At Its Highest Level Since 2022

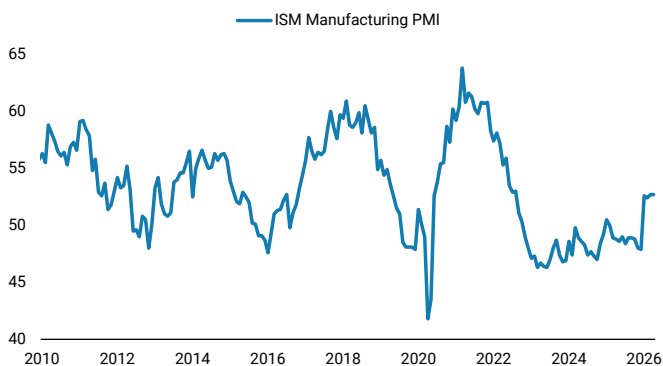
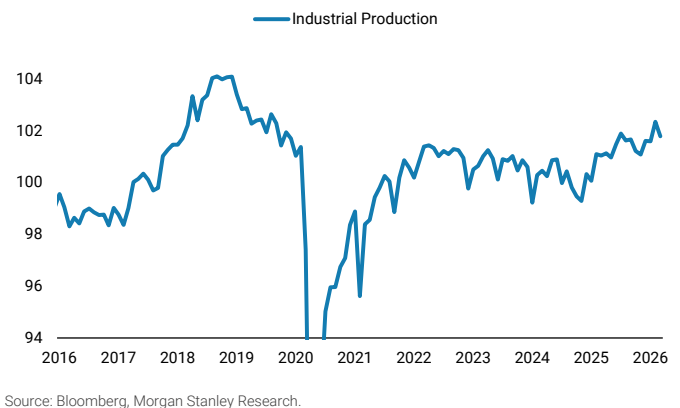


Exhibit 36: Industrial Production Also Remains in an Uptrend



The AI Capex, Disruption and Labor Debate

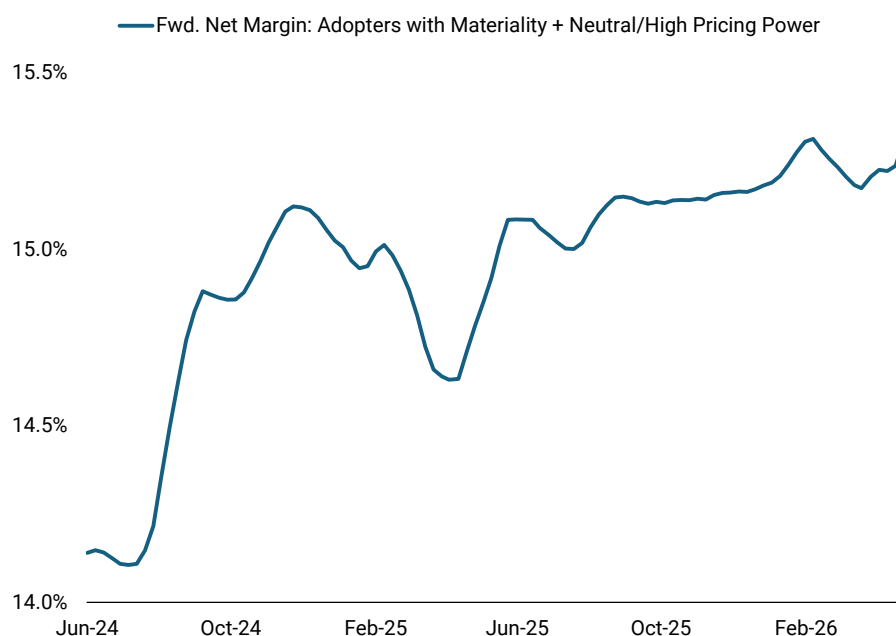
AI-related uncertainty like we saw earlier this year is not uncommon in major investment cycles where volatility bands can widen and dispersion is higher at times. That said, fundamental tailwinds remain in place for the AI enabler complex, and the AI adopter trade remains underappreciated, in our view. The current status of (1) the affiliated credit cycle (relatively early innings), (2) the cost of capital (benign so far/the Fed's not hiking), (3) the cost of compute (still elevated) and (4) valuation (still undemanding for many of the AI leaders) does not indicate a market environment that's ready to structurally impose capex discipline on the major AI infrastructure providers. While this has been an out of consensus view at times this year amid anecdotal examples of capex discipline, our

systematic factor work continues to show that the market is actually rewarding higher capital spending on an equal weighted basis. Until the four variables noted above shift to a more adverse posture, we continue to think mega cap tech stocks/Mag 7/hyperscalers are likely to trade more off revenue revisions versus capex/FCF expectations.

On AI disruption, the narrative has moved faster than actual implementation. The enterprise application layer is still in early days, and in the near term, AI looks more likely to support, rather than compress, margins, particularly for early adopters. It also gives companies an excuse and an incentive to keep hiring low, as this new economic cycle continues to lead to operating leverage surprises on the upside. This positive operating leverage is surfacing in earnings growth and breadth as the median company is growing EPS in the double digits—the fastest pace since 2021. Furthermore, to get realization of efficiencies, don't we first need the broader buildout of the agentic application layer and the subsequent workflow integration to occur at the enterprise level?

In our view, the investment case for owning AI adopters continues to strengthen, helping to counter disruption fears. This is particularly relevant because many of the areas perceived to be disrupted are also well-positioned as adopters based on our thematic research team's [AI mapping work](#) and our [industry-level work](#) (i.e., Transports, Software & Services, Professional Services). In fact, forward net margin expectations continue to accelerate for adopters with significant/core to thesis materiality and neutral/high pricing power ([Exhibit 37](#)). At the index level, we continue to expect 100bps of net margin expansion cumulatively through 2027 as a result of AI adoption.

Exhibit 37: Profit Margin Expectations for AI Adopters Have Been Strong

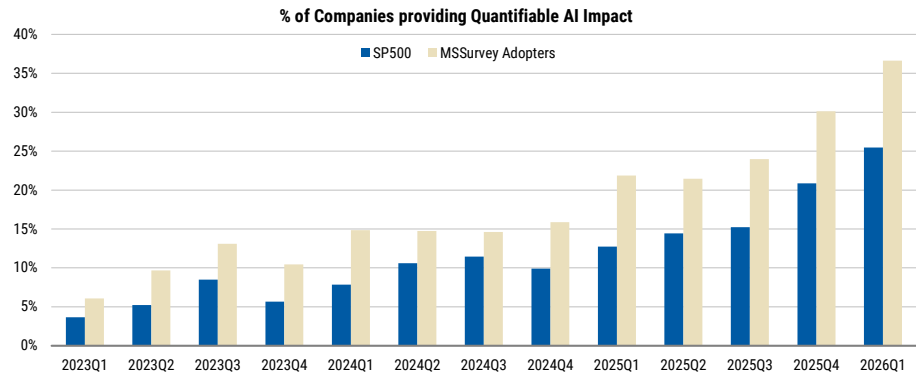


Source: Morgan Stanley Research. Based on our Thematic team's [mapping work](#). Significant or Core to Thesis Materiality. Neutral or High Pricing. Based on median stock. Smoothed 6 weeks.

In addition, our proprietary analysis shows that momentum continues to build around AI adoption. The share of companies citing quantifiable benefits from AI adoption has been steadily increasing based on our analysis. In 1Q26, 37% of companies identified as "adopters" by our analysts mentioned at least one quantitative impact, up from 30% in

4-Q25 and 22% in 1Q25. For the broader S&P 500, 25% of members mentioned at least one measurable benefit, up from 21% in 4-Q25 and 13% in 1Q25. We expect this trend to continue as models become more powerful and as companies further ramp up their AI adoption efforts giving employees access to more AI tools.

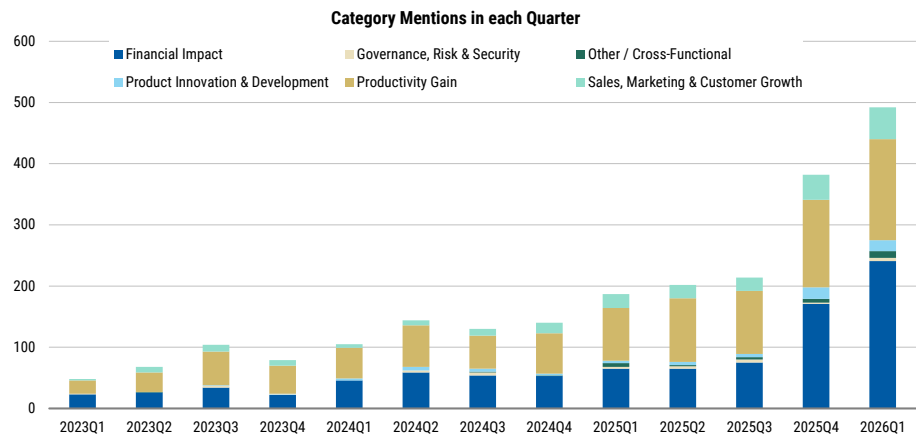
Exhibit 38: Discussions of Quantifiable Benefits from AI Are Rising



Source: Morgan Stanley Research. Please note, companies mentioning multiple quantifiable benefits from AI are only counted once in this chart.

Today, the majority of discussions of quantifiable benefits are tied to "financial impact" (revenue growth/generation, cost savings, or investment & capital impacts). "Productivity gain" remains the second-most prevalent type of AI adoption.

Exhibit 39: Category Level Mentions of AI Benefits



Source: Morgan Stanley Research.

Lastly, labor market impacts from AI are in focus and have likely driven price action more than disruption fears in certain industries like Consumer Finance this year at times. In our view, jumping to the potential conclusion that AI disruption will structurally impact the jobs market in an adverse way skips over the near/intermediate term adoption of agentic AI which is likely to be margin accretive to an extent that is not currently priced. We think this period of adoption is likely to coincide with some natural attrition not being replaced (i.e., job openings stay low, but the unemployment rate doesn't surge higher) as the agentic application layer is integrated into enterprise workflow. This is likely to take time as noted above. Further, several other governors (power, compute shortages/prices, and regulatory/data governance considerations) could elongate this period of work flow

integration relative to current expectations. In short, history tells us that non-linear increases in unemployment happen as a result of demand shocks, not positive productivity shocks. Finally, while we're respectful of longer term risks on this front, economically sensitive areas of the market like Consumer Cyclical and Financials that have struggled at times this year amid this overhang are generally shorter duration assets, not longer duration ones which would trade more off terminal value concerns.

Mapping the Midterms

Given that Midterm elections coincide with our forecast horizon, we highlight recent work on US equity markets around midterm elections. For more cross-asset views, see the full note here: [US Public Policy: Mapping the Midterms: A First Look](#).

US Equity Strategy: Stay the Course

- Election outcomes may drive short term rotation, but we think the business cycle path ultimately outweighs the policy agenda.
- We agree with our policy strategists that the policy vectors likely most important for markets through the end of President Trump's term will remain under his control.
- Historical seasonality is a modest headwind from May through September. Seasonality improves at the start of October and US equities historically see +22% returns in the 12 months following the midterms (early November).

While history shows lower annualized returns for equities in the second year of Presidential cycles relative to the other three years, we'd point out that returns are still solid in absolute terms (+9%). Furthermore, earnings growth today far surpasses the historical precedent in second year periods of Presidential cycles ([Exhibit 41](#)). This speaks to a point we've long been partial to, which is that the path of the business cycle ultimately outweighs the policy agenda. With forward 12-month earnings growth north of 20%, the business cycle inflecting and our expectation for the Fed to cut rates later this year, we think returns in 2026 are likely to be stronger than the historical precedent suggests. The other variable to consider is that we've just experienced a 10% correction (18% in P/E terms) due to a host of risk variables. History suggests it's rare to see more than one 10% correction over the course of a year (just 5 instances in the last 55 years). So in this sense, we've likely pulled forward some of the volatility often seen into midterm elections.

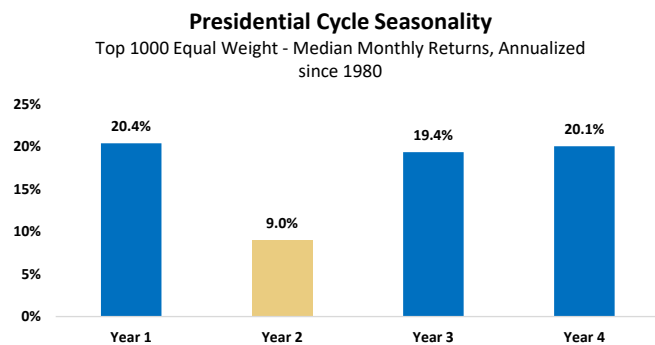
We agree with our policy strategists' view discussed above that the policy vectors likely most important for markets through the end of President Trump's term will remain under his control—i.e., foreign policy (US-Iran, Venezuela, US-China, etc.), tariffs (USMCA, US-China, EU, etc.), de-regulation, and immigration controls. While there could be some rotational dynamics in a divided Congress outcome as discussed in the industry sections (i.e., within Healthcare and Industrials), we don't see a divided outcome as a material, market-moving event if it does play out via a Democrat win of the House and a Republican win of the Senate. As noted above, if Democrats secure both the House and Senate but remain internally fragmented or unable to converge around a particular policy agenda, it could have a similar gridlock-type result as a Democratic House and a Republican Senate—likely not a major, market-moving result. In that case, the current policy trajectory would remain the same for the next 2-3 years, a trajectory we believe is equity bullish.

The remaining scenario involves a Democratic win of both chambers where the party is able to build a clear consensus around a political agenda. While the President retains veto power in this outcome, the Democrats could extract concessions (see above). Perhaps more importantly for markets, investors may then look ahead to 2028 in this outcome with the assumption that the odds of a Democrat sweep (including the Presidency) appear likely to rise. This could lead the market to question the durability of the current policy path – specifically, de-regulation (which aids the Banks and small/mid caps), the full scope of the One Big Beautiful Bill (which has helped Industrials and Technology), and the rebalancing from government to the private sector that we have been focused on (see [here](#) and [here](#)). In our view, this could lead to an initial risk-off reaction function either before mid-terms if polling/prediction markets convincingly point in this direction or post midterms. Why not a more sustained risk-off move? The President has veto power and the 2028 Presidential election would still be 2 years away.

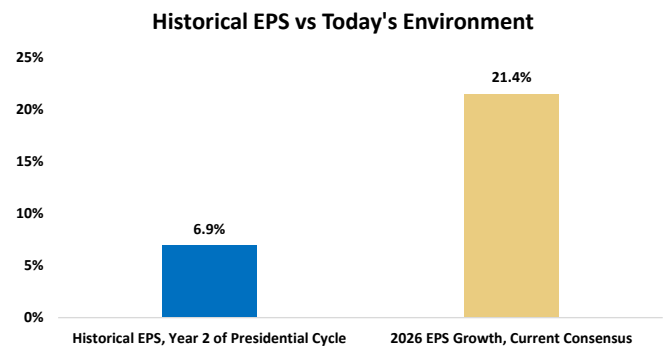
In terms of the historical performance precedent in midterm election years, defensives have typically outperformed in the months leading up to midterms with broad markets gaining 10% in 1Q but giving back half of these returns during Q2 and Q3 before bottoming at the start of Q4. Relative leadership during this period comes from Health Care, Staples, Utilities, and Telecom.

Seasonally, index returns bottom one month before the midterms (start of October) as markets digest political uncertainty in advance and then favor a more risk-on posture following the event. US equities see a +22% return in the 12 months following midterm elections and +19% in year three of the presidential cycle. Relative outperformance is driven by growth, cyclicals ex Energy, and small-cap factors after the midterm election while defensives are the relative laggards. On a sector level, nearly all sectors see strong absolute returns and relative winners are Technology and Consumer Discretionary while laggards are Energy, REITs and Utilities.

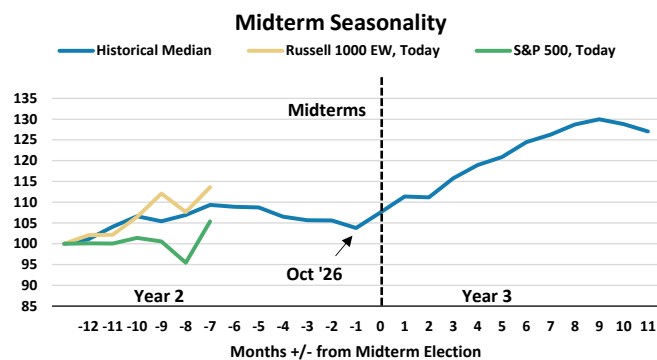
Our tracking of markets today versus historical seasonality shows a mixed picture depending if you look at the average stock (Russell 1000 equal weighted) or the S&P 500 ([Exhibit 42](#)). The average stock is up 14% year-to-date while the S&P 500 is up 5% after a strong recovery in April. While we remain respectful of Presidential cycle seasonality, we continue to believe that 2026 will be an above average market return year with strong EPS returns being driven by both strong top-line revenue growth and by margin expansion ([Exhibit 43](#)). More importantly, we continue to believe the recent rolling correction is occurring within a new bull market and economic cycle that began in April of last year, suggesting the expansion still has significant room to run.

Exhibit 40: Year Two of the Presidential Cycle Sees High Single Digit Returns

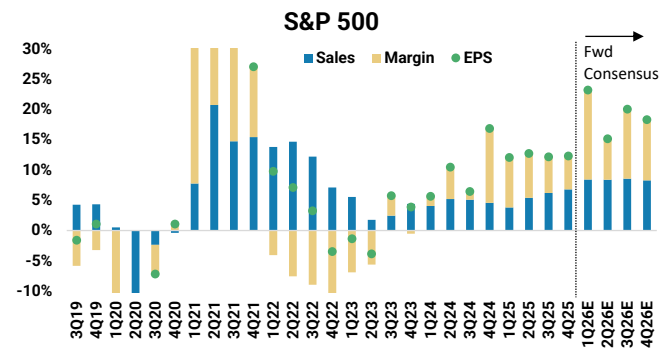
Source: Compustat, Morgan Stanley Research

Exhibit 41: EPS Growth Is Triple Today versus the Historical Median Ahead of Midterms

Source: FactSet, Morgan Stanley Research

Exhibit 42: Midterm Seasonality Is Weaker into October and then Rallies in 4Q & 2027

Note: Historical median returns are annualized median monthly returns back to 1980 on Top 1000 Equal Weight (Russell 1000 Equal Weight proxy) universe to avoid cap size bias. Seasonality troughs at the end of September/start of October. Source: Compustat, Morgan Stanley Research

Exhibit 43: 2026 Sees Strong Earnings Contribution from Both Top-Line Growth and Margin Expansion

Source: FactSet, Morgan Stanley Research

Exhibit 44:

Midterm Seasonality

Average Top 1000 Equal Weighted Performance (Relative) around Midterm Election Year by Industry Group since 1982

	Prior 9M	Prior 6M	Prior 3M	Next 1M	Next 3M	Next 6M	Next 9M	Next 12M
Energy	1.5%	2.4%	-0.3%	-0.5%	-7.8%	-8.2%	-9.2%	-10.7%
Materials	-0.5%	-1.8%	0.0%	-1.2%	-0.1%	0.7%	0.7%	0.1%
Capital Goods	-1.2%	-2.7%	-0.5%	0.1%	0.6%	0.7%	4.2%	2.8%
Commercial & Professional Services	0.1%	1.2%	-0.2%	-0.4%	-0.6%	-1.3%	-3.3%	-3.4%
Transportation	-3.7%	-4.2%	-2.9%	1.1%	0.9%	0.7%	1.0%	-1.2%
Automobiles & Components	-3.0%	-4.2%	-2.7%	1.0%	1.9%	0.1%	4.0%	-0.3%
Consumer Durables & Apparel	-2.9%	-3.6%	-3.0%	0.1%	2.3%	2.6%	2.5%	-0.1%
Consumer Services	-1.9%	-3.5%	-2.2%	0.3%	1.3%	5.2%	7.0%	5.1%
Consumer Discretionary Distribution & Retail	3.6%	1.6%	0.2%	0.9%	2.9%	6.5%	7.3%	4.4%
Consumer Staples Distribution & Retail	9.5%	6.7%	2.5%	1.3%	2.1%	0.7%	-0.5%	-0.7%
Food, Beverage & Tobacco	8.7%	7.0%	1.3%	1.3%	-0.4%	-3.5%	-5.2%	-2.6%
Household & Personal Products	3.1%	3.2%	-0.4%	1.5%	2.2%	4.3%	0.8%	1.1%
Health Care Equipment & Services	7.0%	6.2%	3.0%	-1.0%	-0.2%	2.9%	0.6%	-3.1%
Pharmaceuticals, Biotechnology & Life Sciences	8.5%	7.9%	5.0%	0.8%	0.8%	3.9%	2.7%	3.9%
Banks	-0.7%	-1.8%	-2.4%	-1.7%	-3.5%	-8.3%	-9.7%	-8.8%
Financial Services	-1.5%	-2.1%	-0.6%	2.2%	2.4%	6.2%	7.2%	5.7%
Insurance	1.2%	0.1%	0.0%	-1.1%	-0.9%	-4.2%	-7.7%	-6.6%
Software & Services	-2.6%	-1.7%	-0.2%	2.4%	6.0%	11.3%	14.7%	17.4%
Technology Hardware & Equipment	-5.9%	-3.9%	-0.7%	2.6%	6.6%	10.9%	14.6%	16.8%
Semiconductors & Semiconductor Equipment	-5.5%	-9.3%	-4.1%	3.7%	8.4%	21.7%	32.6%	39.5%
Telecommunication Services	1.7%	3.6%	2.3%	2.3%	2.2%	-2.1%	-2.1%	-1.5%
Media & Entertainment	-1.2%	-0.1%	0.2%	-0.2%	0.2%	1.6%	3.7%	2.7%
Utilities	5.1%	5.2%	2.8%	-0.3%	-0.9%	-7.2%	-10.9%	-7.3%
Equity Real Estate Investment Trusts (REITs)	3.2%	2.8%	0.5%	-1.7%	-2.3%	-4.2%	-8.4%	-8.1%
Real Estate Management & Development	-5.7%	-8.3%	2.3%	-3.7%	-3.9%	3.3%	-4.0%	-21.9%
Top 1000 (Cap Weighted)	-1.4%	-3.0%	-1.1%	4.0%	7.0%	15.3%	22.2%	21.9%
Top 1000 (Equal Weighted)	-2.8%	-5.1%	-2.6%	3.6%	7.2%	16.4%	23.8%	22.4%
Value vs Growth	4.1%	1.6%	0.5%	-0.8%	-1.9%	-6.0%	-6.7%	-6.7%
Quality vs Junk	6.7%	7.1%	2.4%	0.5%	0.2%	-4.7%	-6.4%	-5.7%
Cyclical vs Defensive	-5.2%	-6.2%	-3.0%	0.5%	1.1%	4.1%	7.4%	5.7%
Small vs Large	-3.2%	-4.9%	-4.1%	-1.0%	0.0%	2.7%	3.6%	2.1%

Source: Compustat, Morgan Stanley Research

Given the potential for Congress to flip from a unified Republican Congress to a divided Congress or a unified Democratic Congress, we also looked at comps for these two scenarios.

- **Scenario 1: Unified to Divided Congress**

- Comps are 2010 (Obama), 2018 (Trump), and 2022 (Biden) midterms
- Strong absolute returns (+12% in +6M)
- Outperformance from Semis, Consumer Discretionary, Materials, Capital Goods

- **Scenario 2: Party Flip**

- Comps are 1994 (Clinton) and 2004 (G.W. Bush)
- Strong absolute returns (+10% in +6M)
- Outperformance from Tech, Real Estate, and Materials

- **Scenario 1 vs 2 Comparison**

- Overall, returns are similar but the full party flip scenario (scenario 2) sees stronger +12 month forward absolute returns.
- The full party flip scenario (scenario 2) historically favors a more pro-cyclical outcome with performance led by junk, cyclical and small cap stocks relative to a divided Congress (scenario 1).

Exhibit 45: Midterm Seasonality - Unified Congress to Divided Congress (Scenario 1)

Average Top 1000 Equal Weighted Performance (Relative) around Midterm Election Year - Unified to Split Congress (2010, 2018, 2022)								
	Prior 9M	Prior 6M	Prior 3M	Next 1M	Next 3M	Next 6M	Next 9M	Next 12M
Energy	17.9%	6.7%	1.2%	2.6%	-0.7%	-0.5%	-6.8%	-7.5%
Materials	-2.9%	-4.4%	-1.7%	0.1%	3.0%	2.8%	0.3%	-3.0%
Capital Goods	-0.4%	1.0%	4.2%	-0.4%	1.7%	4.0%	6.2%	2.1%
Commercial & Professional Services	0.4%	2.2%	-0.7%	-0.5%	-2.5%	-3.8%	-2.6%	-0.4%
Transportation	-3.2%	-2.9%	0.3%	0.9%	-0.3%	-2.1%	1.8%	-1.0%
Automobiles & Components	-14.2%	-9.7%	-0.9%	4.3%	-0.5%	-0.1%	-0.9%	-7.2%
Consumer Durables & Apparel	-5.2%	-3.5%	-3.4%	-2.2%	1.4%	3.9%	5.5%	5.8%
Consumer Services	-0.8%	-3.5%	0.6%	1.3%	2.1%	3.8%	7.8%	5.7%
Consumer Discretionary Distribution & Retail	3.4%	3.9%	4.0%	0.2%	2.2%	0.4%	-0.5%	1.3%
Consumer Staples Distribution & Retail	5.6%	2.7%	0.1%	3.2%	2.4%	-1.9%	-2.9%	5.8%
Food, Beverage & Tobacco	3.1%	2.0%	-3.2%	3.9%	2.5%	0.0%	0.7%	6.3%
Household & Personal Products	-1.4%	0.6%	-2.0%	-2.4%	-0.2%	-1.4%	-0.6%	4.2%
Health Care Equipment & Services	6.0%	3.0%	0.8%	-2.0%	-0.7%	-0.5%	1.9%	-2.5%
Pharmaceuticals, Biotechnology & Life Sciences	3.0%	3.4%	0.0%	-1.8%	-2.0%	-3.3%	-4.4%	-5.1%
Banks	-1.0%	-5.1%	-4.7%	-2.2%	-4.2%	-18.3%	-22.7%	-22.6%
Financial Services	-6.9%	-5.8%	-1.2%	1.7%	0.6%	-0.7%	-1.8%	-0.8%
Insurance	5.9%	0.4%	-0.2%	1.8%	1.9%	3.8%	-2.9%	3.9%
Software & Services	7.8%	6.3%	6.2%	-2.4%	-4.8%	0.7%	2.7%	4.2%
Technology Hardware & Equipment	-2.4%	-1.6%	0.2%	0.4%	-0.5%	3.8%	2.1%	0.4%
Semiconductors & Semiconductor Equipment	-8.0%	-6.7%	-1.8%	-1.1%	3.7%	15.2%	15.1%	13.6%
Telecommunication Services	3.2%	6.1%	-1.2%	0.1%	-2.8%	-12.3%	-14.5%	-16.1%
Media & Entertainment	-0.4%	-2.5%	-1.6%	0.2%	-3.4%	-0.2%	2.0%	-0.6%
Utilities	4.0%	5.1%	-1.7%	0.6%	1.9%	-1.8%	-3.6%	3.9%
Equity Real Estate Investment Trusts (REITs)	-0.4%	1.4%	-2.7%	0.3%	-0.5%	-1.5%	-2.9%	0.3%
Real Estate Management & Development	-11.3%	-15.2%	-4.2%	-3.6%	-0.9%	6.6%	5.0%	-5.2%
Top 1000 (Cap Weighted)	-3.4%	-3.6%	4.8%	1.5%	1.5%	10.5%	15.1%	8.5%
Top 1000 (Equal Weighted)	-2.2%	-3.1%	4.8%	1.4%	2.1%	11.5%	15.0%	5.8%
Value vs Growth	2.7%	-1.6%	-3.5%	1.9%	1.7%	-3.6%	-6.1%	-4.1%
Quality vs Junk	2.9%	1.1%	-1.3%	2.6%	6.4%	0.2%	-1.1%	1.1%
Cyclical vs Defensive	-4.8%	-3.9%	3.3%	2.6%	-1.2%	1.8%	6.1%	6.6%
Small vs Large	2.1%	0.7%	-0.9%	-1.2%	-0.8%	1.8%	1.2%	-2.4%

Source: Compustat, Morgan Stanley Research

Exhibit 46: Midterm Seasonality - Party Flip in Congress (Scenario 2)

Average Top 1000 Equal Weighted Performance (Relative) around Midterm Election Year - Congressional Party Flip (1994, 2006)								
	Prior 9M	Prior 6M	Prior 3M	Next 1M	Next 3M	Next 6M	Next 9M	Next 12M
Energy	-4.2%	-3.9%	-11.5%	3.8%	-0.8%	1.6%	4.5%	3.6%
Materials	7.7%	3.4%	2.0%	-1.0%	0.4%	3.6%	5.4%	5.1%
Capital Goods	1.8%	-4.5%	-3.2%	1.3%	0.7%	2.5%	10.2%	10.3%
Commercial & Professional Services	1.8%	0.8%	-0.5%	-0.9%	-0.2%	-0.9%	-3.4%	-5.3%
Transportation	-12.8%	-10.6%	-12.4%	2.6%	-0.3%	3.3%	-0.4%	-1.3%
Automobiles & Components	-8.0%	-3.0%	-3.2%	1.9%	2.2%	0.6%	4.9%	-1.2%
Consumer Durables & Apparel	-10.1%	-7.7%	-0.4%	0.4%	1.4%	-2.8%	-7.8%	-16.0%
Consumer Services	-6.0%	-5.8%	1.3%	-0.1%	0.2%	1.6%	1.4%	2.0%
Consumer Discretionary Distribution & Retail	-4.0%	-3.2%	2.1%	0.5%	-3.1%	-6.0%	-9.1%	-15.8%
Consumer Staples Distribution & Retail	4.3%	3.4%	1.3%	1.1%	-0.2%	-0.2%	-2.0%	-4.1%
Food, Beverage & Tobacco	4.2%	7.2%	1.7%	-1.5%	-1.3%	-1.1%	-2.7%	-1.8%
Household & Personal Products	1.4%	3.4%	0.9%	1.0%	2.1%	5.7%	0.2%	-0.8%
Health Care Equipment & Services	6.9%	6.8%	6.2%	-4.1%	-2.9%	1.0%	-8.2%	-3.7%
Pharmaceuticals, Biotechnology & Life Sciences	1.4%	11.6%	9.9%	-0.1%	-0.2%	-1.8%	-2.8%	1.8%
Banks	3.1%	3.1%	-3.0%	-2.9%	-4.8%	-7.2%	-9.0%	-9.4%
Financial Services	3.5%	1.7%	0.5%	0.1%	0.0%	1.3%	4.6%	7.9%
Insurance	-4.3%	0.7%	-0.9%	-2.7%	-0.1%	-1.3%	-4.0%	-4.5%
Software & Services	5.4%	0.5%	5.3%	3.7%	6.3%	8.0%	13.5%	17.8%
Technology Hardware & Equipment	0.8%	-1.2%	8.7%	3.0%	4.7%	1.1%	13.2%	16.8%
Semiconductors & Semiconductor Equipment	13.9%	-1.6%	3.0%	2.8%	0.2%	5.9%	26.5%	35.5%
Telecommunication Services	10.1%	7.8%	4.0%	0.7%	0.3%	-1.5%	-1.2%	2.0%
Media & Entertainment	-8.5%	-1.0%	0.1%	0.3%	1.8%	-0.8%	-4.7%	-6.1%
Utilities	-3.9%	1.8%	0.0%	1.4%	3.3%	4.1%	-0.3%	-0.6%
Equity Real Estate Investment Trusts (REITs)	9.2%	3.1%	0.9%	-2.6%	0.7%	-3.7%	-12.2%	-11.9%
Real Estate Management & Development	-3.0%	-0.8%	1.9%	6.0%	13.3%	12.3%	3.4%	-22.2%
Top 1000 (Cap Weighted)	4.5%	4.1%	5.0%	2.7%	3.2%	8.8%	17.1%	23.4%
Top 1000 (Equal Weighted)	3.8%	1.6%	3.9%	2.5%	2.9%	10.0%	17.9%	22.6%
Value vs Growth	4.5%	6.0%	0.1%	-1.1%	0.0%	-0.5%	-2.3%	-6.8%
Quality vs Junk	2.8%	6.2%	3.4%	-2.0%	-3.4%	-7.6%	-11.8%	-12.7%
Cyclical vs Defensive	0.8%	-1.5%	-1.1%	0.8%	-0.2%	1.2%	7.0%	7.4%
Small vs Large	-1.0%	-5.6%	-2.7%	0.1%	0.6%	3.6%	2.9%	-0.9%

Source: Compustat, Morgan Stanley Research

How Are Companies Discussing Benefits from AI Adoption?

Given the importance of AI adoption to the path of forward margins (we see ~100bps of net margin expansion cumulatively through 2027 in our baseline), we thought it was important to highlight our recent work around the momentum that's building around AI adoption. One question we frequently receive from investors is: "to what extent are companies seeing quantifiable efficiency gains from AI adoption?" **Last fall, in collaboration with the QuantWise team, we leveraged the GPT model to analyze approximately >15,000 conference transcripts and track how management teams are communicating the quantifiable benefits of AI adoption to investors.** We updated that analysis for earnings calls and conference transcripts for events that took place during 1Q (note, earnings calls taking place during 1Q were largely those covering 4Q results).

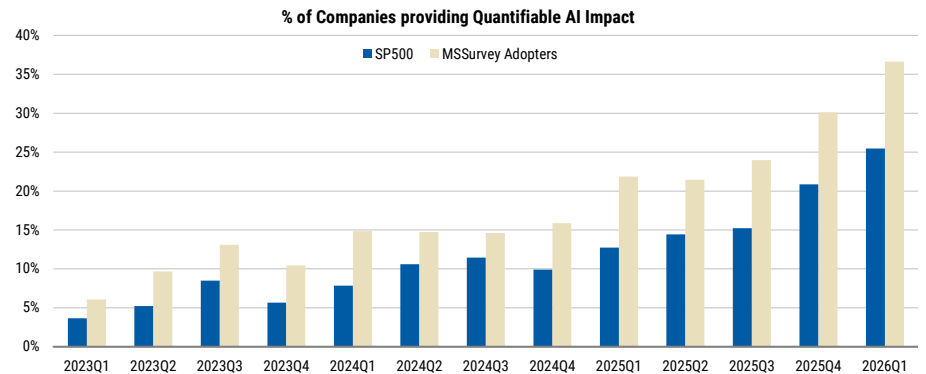
We identified 6 broad categories where companies are making statements about the quantifiable benefits seen from AI adoption: (1) Financial Impact, (2) Productivity Gain, (3) Sales, Marketing, & Customer Growth, (4) Product Innovation & Development, (5) Governance, Risk, & Security, and (6) Other/Cross Functional Benefits.

Exhibit 47: AI Benefit Classifications



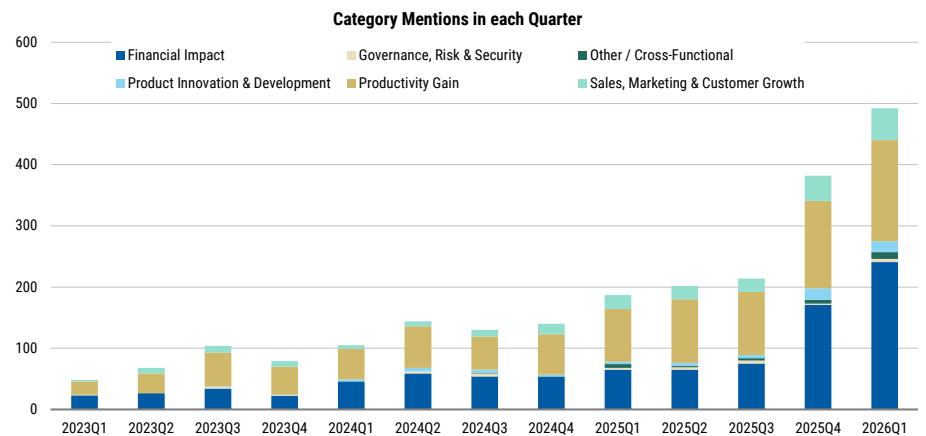
Source: Morgan Stanley Research.

The share of companies citing quantifiable benefits from AI adoption has been steadily increasing based on our analysis. **In 1Q26, 37% of companies identified as "adopters" by our analysts mentioned at least one quantitative impact, up from 30% in 4Q25 and 22% in 1Q25.** For the broader S&P 500, **25% of members mentioned at least one measurable benefit, up from 21% in 4Q25 and 13% in 1Q25.** We expect this trend to continue as models become more powerful and as companies further ramp up their AI adoption efforts giving employees access to more AI tools.

Exhibit 48: Discussions of Quantifiable Benefits from AI Are Rising

Source: Morgan Stanley Research. Please note, companies mentioning multiple quantifiable benefits from AI are only counted once in this chart.

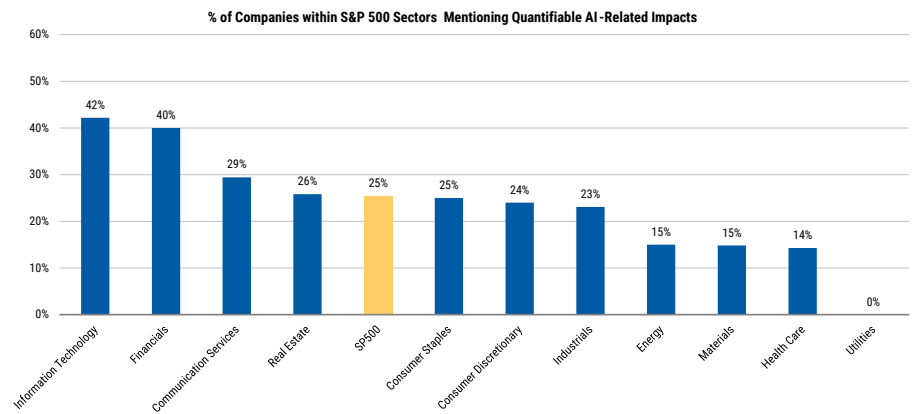
Today, the majority of discussions of quantifiable benefits are tied to "financial impact" (revenue growth/generation, cost savings, or investment & capital impacts). "Productivity gain" remains the second-most prevalent type of AI adoption.

Exhibit 49: Category Level Mentions of AI Benefits

Source: Morgan Stanley Research

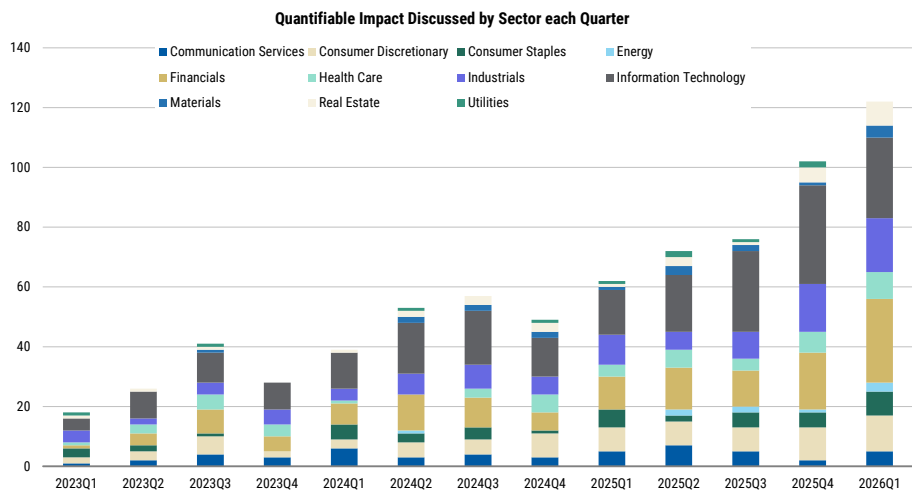
To better understand sector-level adoption, we analyzed the percentage of companies within each S&P 500 sector that referenced tangible AI-driven improvements. Technology holds its spot at the top, with 42% of companies highlighting quantifiable benefits. Financials follow at 40%, while Communication Services rank third with 29%. On a year over year basis, Financials saw the largest increase in mentions (from 15% of the sector in 1Q25 to 40% today), followed by Tech (from 22% of the sector in 1Q25 to 42% today). Since 4Q25, an additional 17% of Communication Services companies and 15% of Financials companies mentioned quantifiable benefits.

Exhibit 50: Percent of Companies within S&P 500 Sectors Mentioning Quantifiable AI-Related Impacts



Source: Morgan Stanley Research.

Exhibit 51: Sectors within the S&P 500 Mentioning Quantifiable AI-Related Impacts



Source: Morgan Stanley Research

Financial Impact Examples:

Exhibit 52: Financial Impact Examples

Ticker	Name	Sector	Quote
CL.N	Colgate-Palmolive Co.	Consumer Staples	Our Promo AI tool is a terrific proprietary tool that we collaborate with our key retailers on around the world. We've generated over \$4 million of incremental margin just with that tool alone.
BXP.N	BXP Inc	Real Estate	And so at the moment, what we are doing is we are looking at ways and we've actually – we have an experiment that's going to go live at the end of the first quarter where we are using AI bot to do a series of accounting processes that are currently being done by individuals not at BXP, but under a contract with a center in another part of the country or in another part of the world.... And so we're going to be eliminating somewhere between six and eight FTE s(full-time-equivalents) and there's a cost associated with that. But the payback is, basically a year plus.
FTV.N	Fortive Corp	Industrials	In the back half of 2025, we took a lot of cost out, particularly corporate costs, our IR team is half the size. A lot of the work that, you know, we're doing right now used to be done by analysts or is now being done by AI. Just summarization of all of the notes, key messages spreading financials, it's just so much easier. Our M&A team is probably a third the size that it was. It's you know, we see it, you know, across the board. And we've definitely taken out cost, you know, as a result of it.
FTNT.O	Fortinet Inc	Information Technology	Finally, our AI-enabled solutions. This involves using AI to automate the detection investigation or mediation of threats, our AI-driven SecOps pillar or opportunity is currently probably the largest near-term AI revenue driver with billings for AI-driven SecOps pillar growing 22% for the full year 2025.
NOW.N	ServiceNow, Inc.	Information Technology	We expect an operating margin of 32%, up 100 basis points year-over-year driven by OpEx savings enabled by AI efficiencies.
BCE.TO	BCE Inc	Communication Services	The three AI-powered solutions businesses we launched in 2025; Ateko, Bell Cyber and Bell AI Fabric were key contributors, collectively growing approximately 60% year-over-year to around \$700 million in revenue.... Importantly, this represents largely net new revenue and EBITDA for Bell, which complements rather than replaces our core connectivity and communication services.
EFX.N	Equifax Inc	Industrials	Equifax expects a 75 basis points margin expansion due to operating leverage and cost actions driven by AI inside of Equifax.
UNH.N	UnitedHealth Group Inc	Healthcare	We anticipate operating cost reductions of nearly \$1 billion in 2026, many AI-enabled, and importantly resulting in higher customer experience and satisfaction at a lower cost.
GBTG.N	Global Business Travel Group, Inc.	Consumer Discretionary	AI-driven efficiency gains aren't just an idea. They're having real-time, meaningful effects on our P&L. And AI is a primary driver for long-term operating leverage and margin expansion. We expect adjusted gross profit margin to increase by 150 basis points to 200 basis points per annum over the next five years, reaching the high 60s by 2030, which represents material margin expansion versus where we are today.
RYAN.N	Ryan Specialty Holdings, Inc.	Financials	The Empower program, which includes AI as a key enabler, is expected to deliver approximately \$80 million of annual savings in 2029.

Source: Morgan Stanley Research

For the full note and additional examples please see [Thematic Alpha: Momentum Around AI Adoption Is Building as Companies Cite More Quantifiable Benefits](#).

AI Disruption Debate

Recent dislocation tied to AI disruption risk presents opportunities in well-positioned incumbents, strong growers and high quality names. Below, our analysts provide stock picks and broader views across impacted groups.

- **Banks:** We view banks as net AI beneficiaries. AI is already driving some operating leverage and should materially lift productivity and earnings over time. Core businesses remain resilient with strong investment banking pipelines, trading tailwinds from volatility, low disruption risk across deposits and custody, and healthy credit trends with normalization in losses already reflected in estimates.
- **Business Services:** We have seen broad selling across the space, which we believe has impacted names that have a strong defensible position to AI threats given their proprietary data, strong brands, and regulatory barriers.
- **Consumer Finance:** We view Consumer Finance stocks as net beneficiaries of AI. These stocks are highly sensitive to consumer health – any acceleration in AI-driven jobs losses would be a net negative. However, in our view, any short-term disruption can be offset by long-term efficiency gains in the underlying business of lending/payments. The core activities of card payments, fraud detection, underwriting, marketing, and loan servicing are data-rich and rules-based, and thus well-suited for AI. Within credit card, we are skeptical that agentic AI can disintermediate credit card interchange, given trust in the system/fraud protections, credit extension, and rewards.
- **Insurance:** We believe AI should gradually improve insurance brokering, but complex contracts, tower construction, market access, regulatory review, compliance, and other factors still need expertise, and are unlikely to face near-term disruption.
- **Internet:** We believe agentic commerce – in effect, the ability to have a personal digital interactive shopper – is set to be the best next substantial GenAI-enabled unlock for internet. We see the consumer "e-commerce funnel" evolving to be more conversational, personalized, interactive.
- **Payments & Fintech:** We see the payments ecosystem, and especially MA and V, as net beneficiaries of AI and agentic commerce. In particular, we expect that MA's and V's respective value-added services segments (44% of rev growing 22% in 4Q25 and 27% of revenue growing 28% in 4Q25, respectively) will see incremental demand. The emergence of AI-driven and AI-based transactions are very similar in nature to existing bot-based fraud attacks, which will increase the opportunity for both companies to provide incremental high-value fraud detection remediation. Further, MA and V feature transaction facets that are nearly unsurpassable, including cost, reliability, accuracy, speed, trust, and legality. We are watching if these payment network moats can be narrowed by fast growth by agentic networks (including the rapidly developing OpenClaw) which may opt for other schemes even if those alternative schemes (e.g., Ether) don't initially offer all the advantages of those of MA and V.
- **REITs and CRE Services:** We think AI disintermediation risk in the CRE services space is low in the near and medium term. In our view, both the ability of an AI-

enabled tool to provide highly complex advice related to CRE transactions, and the willingness of enterprises to seek out such a tool for some of the most consequential CRE decisions they make, are high hurdles to jump in the near and medium term.

- **Software: The question is not whether Software will ultimately monetize in this innovation cycle, but rather who will participate in building out these additional capabilities.**
 - **AI IS Software—GenAI fundamentally expands the capabilities of enterprise software** – presenting opportunities along with risks, with the pullback giving attractive entry points in well positioned incumbents. The average software multiple is back into the range last seen during the peak uncertainty around Public Cloud (2014-2016). The bear case arguments around GenAI appear to give too little credence to the ability of incumbent software vendors to participate in this innovation cycle. Exhibiting an ability to participate in GenAI, with ramping product cycles, likely proves a necessary catalyst in addition to the attractive valuations.
- **Transportation:** Net-net, we believe most Freight Transportation subsectors are more likely to be beneficiaries of AI adoption vs. outright victims of disruption, but the balance differs meaningfully by business model.

Exhibit 53: Key Takeaways on Industry Dynamics & Defensible Stock Picks

Industry	Most Defensible Stocks: Analyst Picks	Key Takeaways
Banks	CITI, BAC, STT, TFC	Regulatory intensity, balance sheet requirements, and relationship-driven models limit disintermediation. AI drives productivity gains across operations, risk, and client service, supporting sustained operating leverage. This is true across the banks industry, and we highlight our key Large Cap Bank Overweights here
Business Services	SPGI, MCO, EFX, TRU, MSCI, VRSK, WCN, RSG, WM, ROL, BV, CTAS	Proprietary data, regulatory barriers, and decision-grade accuracy protect leading information services franchises. AI increases demand for trusted data and analytics while improving operating leverage and product depth.
Consumer Finance	COF, AXP	We see the space as a net beneficiary of AI, with long-term efficiency gains in lending and payments outweighing near-term risks tied to consumer health. Core functions such as payments, fraud detection, underwriting, marketing, and servicing are data-rich and well suited to AI, and we are skeptical that agentic AI can meaningfully disintermediate credit card interchange given the importance of trust, fraud protection, credit extension, and rewards.
Insurance	AON, MRSH, NP, AIG, CB, WTW, RYAN	Complex commercial insurance requires expertise, market access, and regulatory oversight that AI cannot replace. Adoption improves underwriting speed, claims handling, and expense ratios, lifting margins for brokers and carriers.
Internet	AMZN, EBAY, DASH, RVLV, META, GOOGL, APP	Agentic commerce increases personalization, conversion, and online wallet share, expanding e-commerce and digital advertising. Platforms with scale, logistics, and data are positioned to capture incremental demand.
Payments & Fintech	MA, V	We see the payments ecosystem as a net beneficiary of AI and agentic commerce, with rising demand for value-added services such as fraud detection as AI-driven transactions proliferate. Network moats around cost, speed, reliability, trust, and legality remain strong, though fast-growing agentic payment schemes bear watching over time.
REITs and CRE Services	CBRE, CWK	AI risk is largely second-order through tenant demand, while adoption drives material labor productivity gains. Complex, bespoke transactions favor augmentation over replacement, supporting incumbents.
Software	MSFT, INTU, CRM, NOW, TEAM, SNOW, FROG, NET, SHOP, PANW	AI expands enterprise software's addressable market by automating unstructured work rather than replacing applications. Incumbents with distribution, data, and workflow control are positioned to capture monetization as adoption deepens.
Transportation	KNX, SNDR, WERN, SAIA, XPO, ODFL, JBHT, GXO, AUR	AI improves routing, pricing, maintenance, and asset utilization across freight networks. Durable benefits accrue to asset-heavy operators while the disruption risk is concentrated in asset-light intermediaries rather than the industry overall.

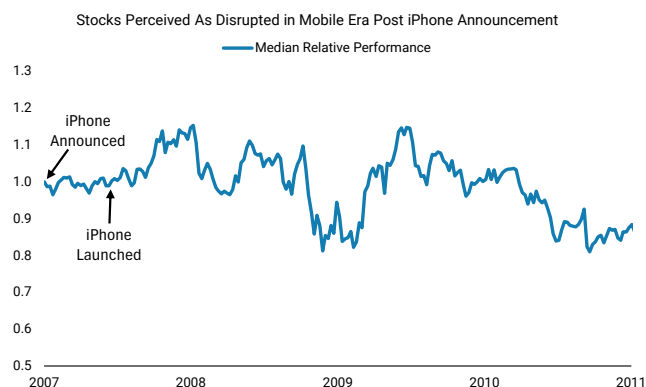
Source: Morgan Stanley Research.

The Mobile Era disruption analog also suggests a stock-specific approach. Areas thought to be disrupted following the launch of the iPhone in 2007 included gaming, PC, printer/camera, GPS, and desktop software/engagement. From a data perspective, we think there are a few takeaways worth noting:

- Median relative performance of related stocks was quite choppy in the years following the iPhone launch. The max drawdown of the series shown in [Exhibit 54](#) was ~30%, though this period also included a ~40% rally.

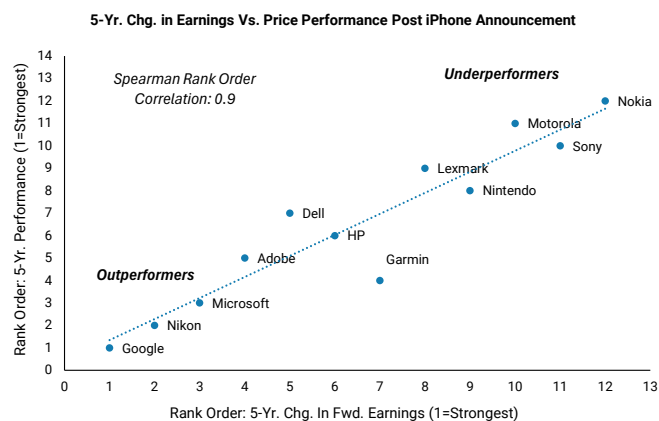
- Relative valuation for the group compressed directionally over this period, while forward earnings showed more resilience.
- Dispersion among stocks perceived to be disrupted in this time period was extremely high across performance, revenue, earnings and valuation. For example, the strongest performance came from Google/Alphabet (+28%), while the weakest came from Nokia (-73%).
- We tested a number of fundamental variables and found the following explained forward performance post the iPhone announcement/launch with strong significance: change in forward earnings, change in forward sales, consistently strong operating margins (i.e., strong in 2007 and 5 years later), change in revenue share.
- The strongest variable in terms of explaining forward returns post the iPhone announcement/launch was forward earnings (0.9 Spearman rank order correlation).

Exhibit 54: Aggregate Relative Performance Was Choppy for Mobile Era Stocks Perceived to be Disrupted Post the iPhone Launch...



Source: FactSet, Morgan Stanley Research.

Exhibit 55: ...Though Dispersion Was High Driven by Degree of Earnings Resiliency



Source: FactSet, Morgan Stanley Research.

In our view, what's going on now is typical of a major investment cycle. Volatility bands tend to widen at times and there are intermittent periods along the way where markets question both the pace of capital spending and which areas of the market could be disrupted. Dispersion is also elevated, which is typical as the market contemplates relative leaders/laggards. What's somewhat unique about this capex boom, particularly relative to the late 1990s (for instance), is that today we're in an early cycle backdrop—specifically in terms of earnings as we've come off the rolling recession of 2022-2025. Thus, as capital is rotating out of certain areas, it's not just finding its way into structural leaders, it's also finding its way into cyclical leaders.

Sectors and Screens

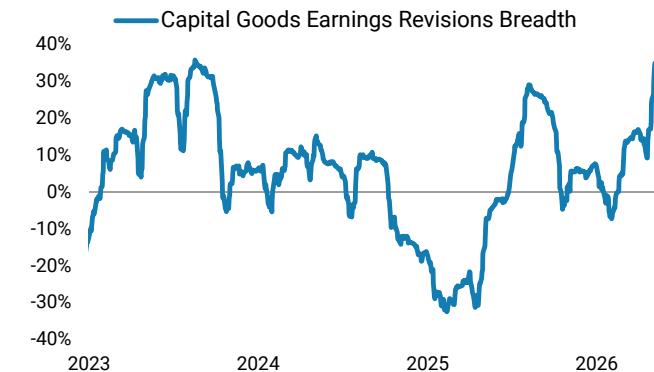
Long Industrials

We're encouraged by the resiliency of earnings revisions and macro data points for both Capital Goods and Transportation despite risks from the Iran conflict. Specifically, earnings revisions breadth for both cohorts has inflected higher over the past several weeks. On the macro front, manufacturers' new orders data has continued its ascent as inventory/sales ratios remain benign/have declined. The ISM Manufacturing Index has held up quite well (remaining around 52-53) despite risks from the war, and manufacturing backlogs have increased materially over the past several months based on data from the survey. On the transports side, the Cass Freight Expenditure Index has risen significantly in growth rate terms since the rolling recession that transpired post-2022. While shipment growth has not seen the same inflection, it does look to be stabilizing around current levels. At the same time, we're seeing C&I loan growth improve, which is a leading indicator for industrial activity, and short-cycle organic revenue growth is also stabilizing. Lastly, the capex cycle is very much in gear and is a function of 3 distinct variables in our view: (1) a rebound in the earnings/business cycle as capex is correlated to EPS, (2) fiscal tailwinds from the OBBBA, and (3) the data center buildout. These developments are contributing to the strongest capex growth we have seen in years (see exhibits below); this is evident both for the AI-related complex and for the S&P 493.

1Q earnings season reinforced a more resilient industrial backdrop than many feared just a few months ago. Early reporters have generally exceeded expectations, with solid order growth, suggesting underlying demand is holding up despite geopolitical noise and cost pressures. At the same time, companies had set a relatively low bar for the quarter, which helped drive beats, but forward commentary has been more measured—particularly as margin expansion through the balance of the year is questioned and cost inflation begins to build into the outlook. This has left investors debating how much of the strong first-half performance reflects true end-market strength versus timing effects. We're more in the former camp versus the latter camp given our constructive views on the broader earnings/capex cycles and our Multi-Industry analyst Chris Snyder's long-standing reshoring thesis, but we acknowledge risks from pull-forward potential, the 232 tariff update and downstream cost impacts from the Iran conflict.

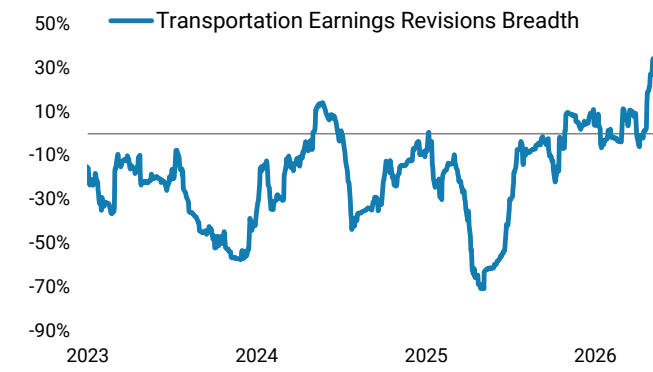
Chris Snyder's reshoring thesis resonates with us. In effect, reshoring is shifting the drivers of growth away from pure end-demand and toward supply-chain realignment, helping sustain industrial momentum even amid macro uncertainty. The best positioned pockets in the sector to benefit from this themes are those with relatively inelastic volumes, pricing power, and domestic exposure. The team is overweight: AYI, ROK, TT, ETN, VRT, RAL, JCI.

Exhibit 56: Capital Goods Earnings Revisions Breadth Rising...



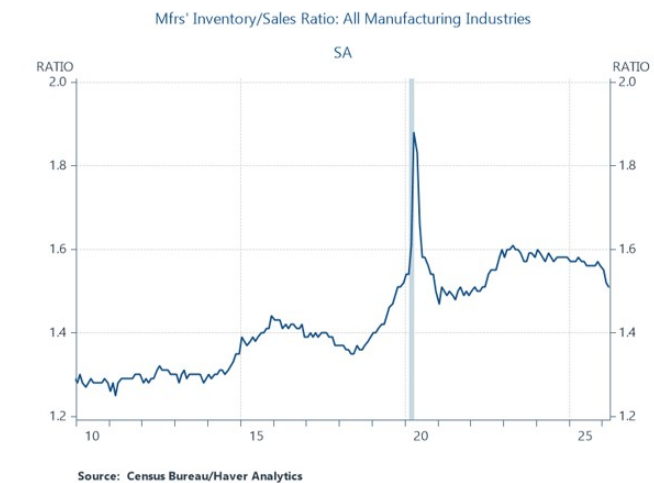
Source: FactSet, Morgan Stanley Research.

Exhibit 57: ...As Is Revisions Breadth for Transportation



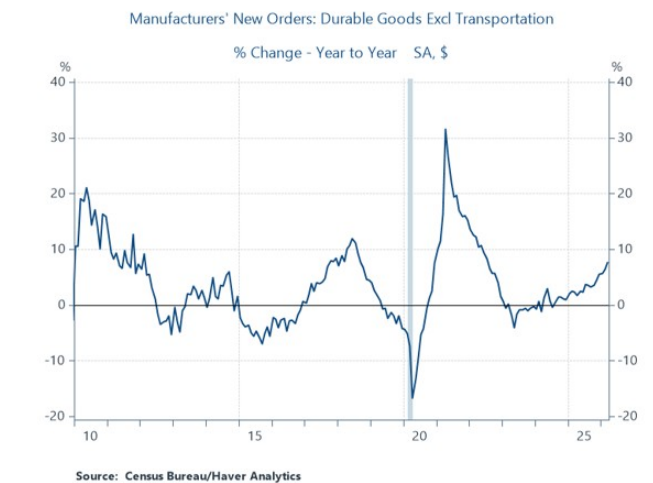
Source: FactSet, Morgan Stanley Research.

Exhibit 58: Manufacturing Inventory/Sales Ratio Has Fallen...



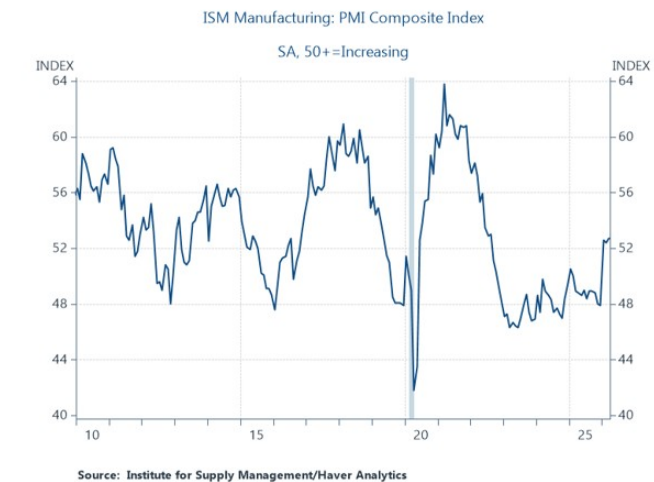
Source: Haver Analytics, Morgan Stanley Research.

Exhibit 59: ...As New Orders Are Picking Up



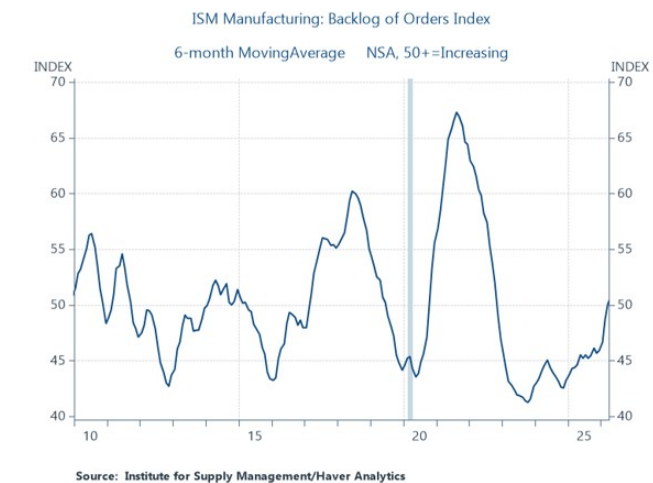
Source: Haver Analytics, Morgan Stanley Research.

Exhibit 60: ISM Manufacturing Index Has Held Up Quite Well Despite the Geopolitical Risks...



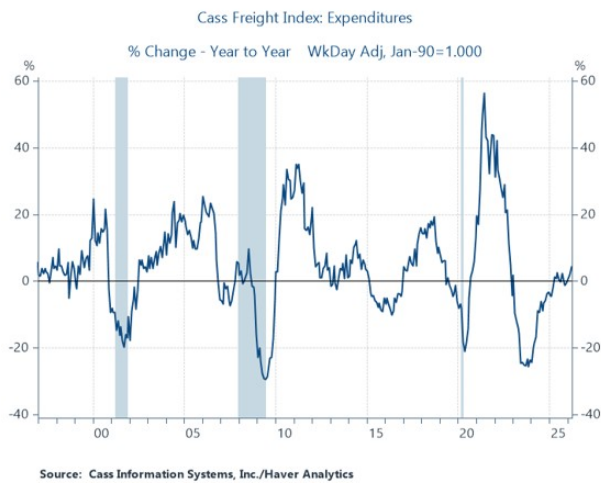
Source: Haver Analytics, Morgan Stanley Research.

Exhibit 61: ...With Backlogs Strengthening



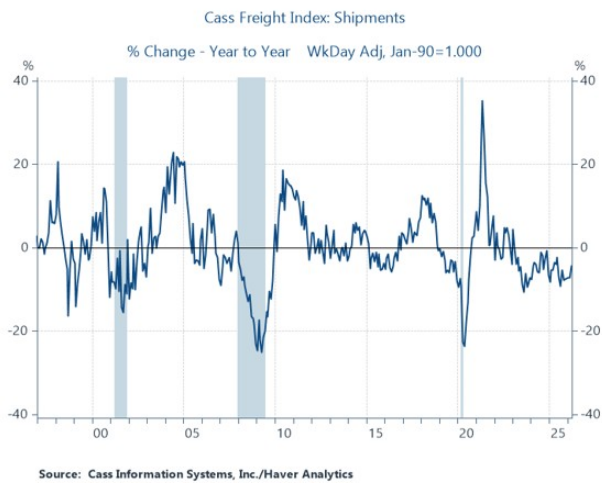
Source: Haver Analytics, Morgan Stanley Research.

Exhibit 62: Cass Freight Total Spending Rising Driven by Pricing...



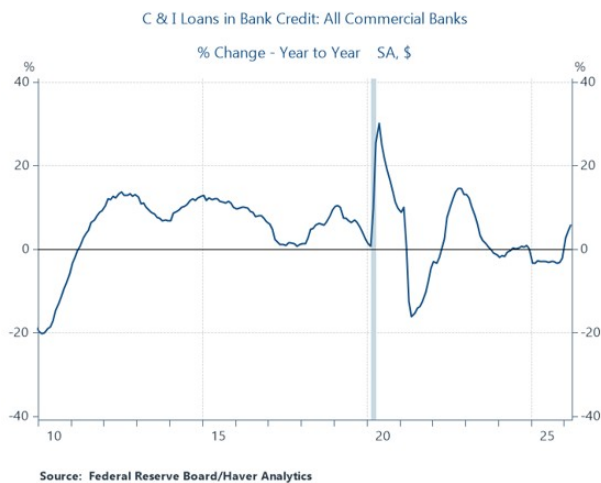
Source: Haver Analytics, Morgan Stanley Research.

Exhibit 63: ...While Shipments Haven't Yet Accelerated, They Look to be Stabilizing



Source: Haver Analytics, Morgan Stanley Research.

Exhibit 64: Industrial Loan Growth on the Rise



Source: Haver Analytics, Morgan Stanley Research.

Exhibit 65: Organic Revenue Growth for Short-Cycle Stocks Also Stabilizing

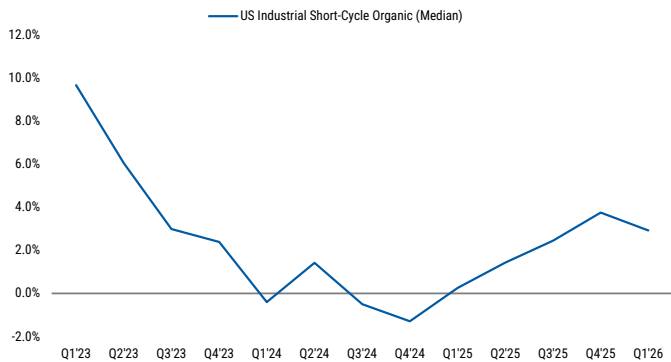
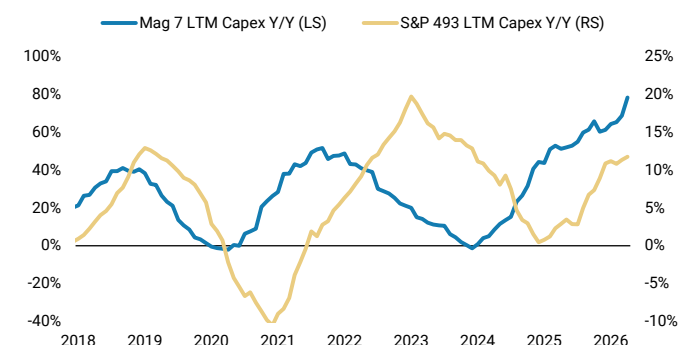
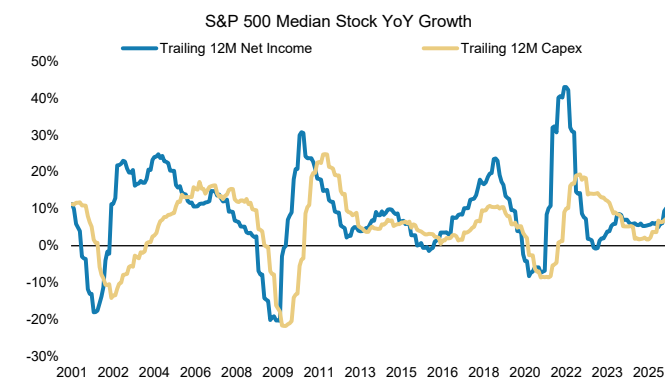


Exhibit 66: Capex Growth Picking Up for Both the Mag 7 and S&P 493



Source: FactSet, Morgan Stanley Research.

Exhibit 67: Median Stock Capex Growth Lags the Earnings Cycle; We Should See A Further Acceleration over the Next 12 Months



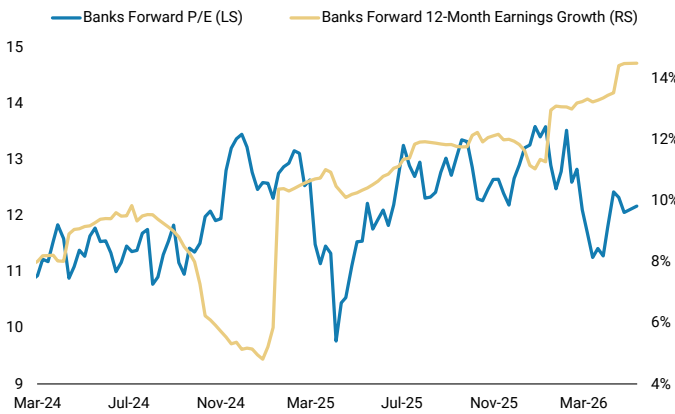
Source: FactSet, Morgan Stanley Research.

Long Financials

Our Banks team led by Manan Gosalia has argued that the backdrop for his coverage is attractive given a significant release of excess capital alongside improving underlying business conditions. Currently, banks in the MS Large Cap Banks coverage hold roughly \$137B of excess capital which could rise to \$179B, pending upcoming regulatory changes such as Basel III Endgame and GSIB surcharge revisions. These changes are expected to expand balance sheet capacity meaningfully, allowing banks to support stronger lending, higher capital markets activity, and increased shareholder returns. Importantly, their work suggests that consensus estimates underestimate both the scale and pace at which banks will deploy this capital.

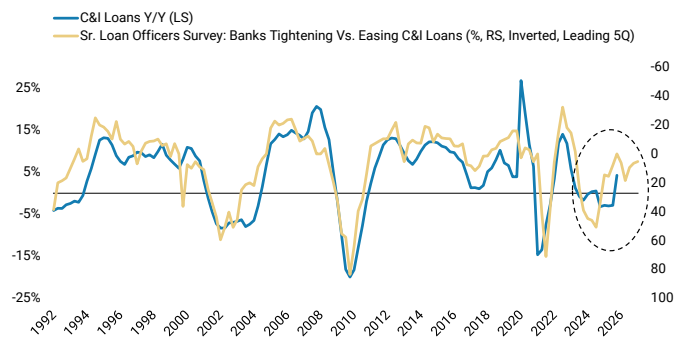
Our work shows that Banks forward earnings growth continues to rise (now 14%), while valuation is still attractive at 12x forward earnings for the overall group. For Financial Services more broadly, earnings revisions breadth has inflected higher once again post-reporting season, an incremental positive development. At the same time, loan growth is picking up and the Senior Loan Officer Survey points to continued upside momentum this year, benefitting the mid-size/regional banks ([Exhibit 70](#)). Capital markets/M&A beneficiaries within the sector should benefit from a pick-up in deal activity ([Exhibit 71](#)). Lastly, positioning is light in the sector based on our prime brokerage data (0 percentile) a sign that the excess capital release/positive earnings revisions story for the space remains out of consensus.

Exhibit 68: Banks Earnings Expectations Continue to Rise As Valuation Looks More Attractive



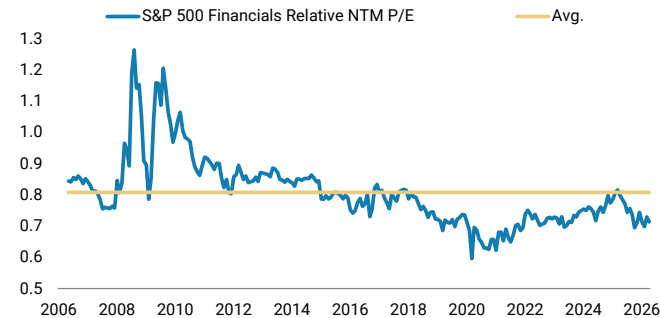
Source: FactSet, Morgan Stanley Research.

Exhibit 70: An Easing in Credit Conditions As Measured by the Senior Loan Officer Survey Indicate That Loan Growth Is Likely to Continue to Improve



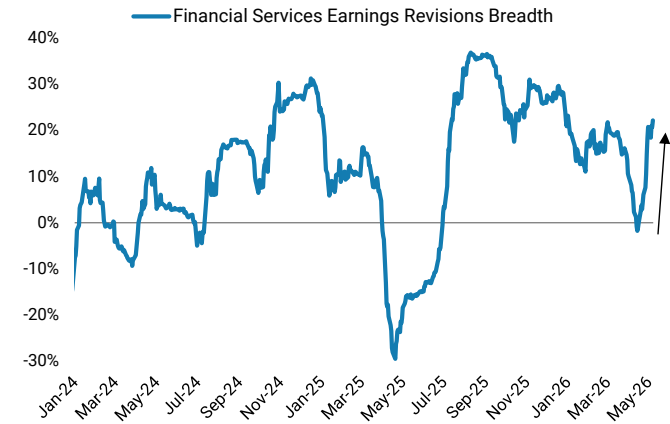
Source: Haver Analytics, Morgan Stanley Research.

Exhibit 72: Financials Relative Forward P/E...



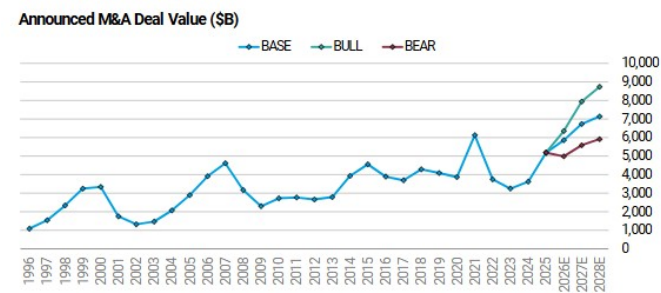
Source: FactSet, Morgan Stanley Research.

Exhibit 69: Financial Services Earnings Revisions Breadth Picking Up Again



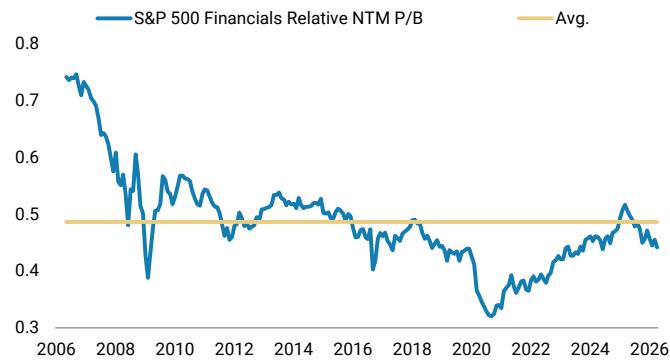
Source: FactSet, Morgan Stanley Research.

Exhibit 71: We See a Sustained M&A Rebound Ahead



Source: Dealogic, Morgan Stanley Research estimates.

Exhibit 73: ...and Price/Book Ratios Are Attractive Vs. History



Source: FactSet, Morgan Stanley Research.

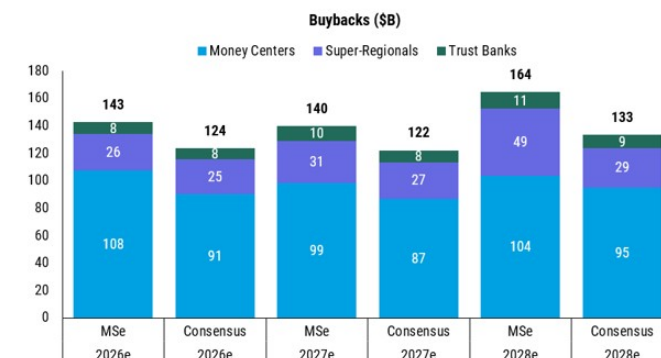
Exhibit 74: On an Aggregate Basis, Our Banks Team Estimates Excess Capital Will Increase from an Aggregate 8% of Market Cap to 10%...

Excess Binding Capital Above Regulatory Minimums

		Binding Constraint % of Market Cap					
		Market Cap	1Q26 Constraint	Post RWA Changes	GSIB	SCB	Include Full AOCI in Capital
Cat I	\$B						
	BAC	370.4	5%	4%	5%	5%	5%
	BK	90.5	5%	6%	7%	7%	7%
	C	215.4	6%	5%	8%	9%	9%
	GS	266.5	3%	2%	5%	5%	5%
	JPM	824.4	3%	3%	4%	4%	4%
	STT	41.0	9%	9%	9%	9%	9%
Cat II	WFC	242.3	8%	11%	12%	12%	12%
	NTRS	29.8	14%	14%	14%	14%	14%
Cat III	AXP	217.8	3%	3%	3%	3%	3%
	COF	117.6	21%	25%	25%	25%	21%
	PNC	88.0	14%	20%	20%	20%	12%
	TFC	61.6	23%	30%	30%	30%	19%
Cat IV	USB	85.7	12%	15%	15%	15%	15%
	ALLY	13.2	33%	42%	42%	42%	21%
	CFG	27.0	8%	14%	14%	17%	10%
	FTB	44.7	7%	13%	13%	14%	8%
	HBAN	32.8	20%	24%	24%	24%	17%
	KEY	23.2	24%	28%	28%	29%	20%
	MTB	31.9	15%	19%	19%	19%	19%
	RF	23.6	17%	22%	22%	22%	15%
	SYF	25.0	22%	25%	25%	25%	25%
	AUB	5.3	13%	16%	16%	16%	16%
Smaller Banks	BFH	3.4	28%	31%	31%	31%	31%
	CBC	6.5	37%	38%	38%	38%	38%
	CBSH	7.6	28%	31%	31%	31%	31%
	CFR	8.7	20%	23%	23%	23%	23%
	CUBI	2.6	28%	33%	33%	33%	33%
	EWBC	16.9	21%	25%	25%	25%	25%
	FLG	5.8	59%	63%	63%	63%	63%
	MBIN	2.1	20%	26%	26%	26%	26%
	OZK	5.4	32%	37%	37%	37%	37%
	PB	6.9	24%	25%	25%	25%	25%
	SFNC	3.1	21%	25%	25%	25%	25%
	UMBF	9.8	16%	20%	20%	20%	20%
	VLY	7.5	21%	26%	26%	26%	26%
	WBS	11.5	17%	21%	21%	21%	21%
	ZION	9.1	24%	30%	30%	30%	30%
Covered Cat I/II (Ex MS)		2,080	5%	5%	6%	6%	6%
Covered Cat III/IV		792	13%	17%	17%	17%	13%
Covered Other Banks		112	24%	28%	28%	28%	28%
Aggregate Total		2,985	8%	9%	10%	10%	9%

Note: Pricing as of 5/5/2026. Source: Company data, FactSet, Morgan Stanley Research estimates

Exhibit 75: ...And They Model ~\$140/160B of Buybacks in Aggregate Across Their Large Cap Bank Coverage in Both 2027/28, Which Is Also Significantly Above Consensus Estimates



Source: Company data, Visible Alpha, Morgan Stanley Research.

Consumer Discretionary Goods Over Consumer Staples

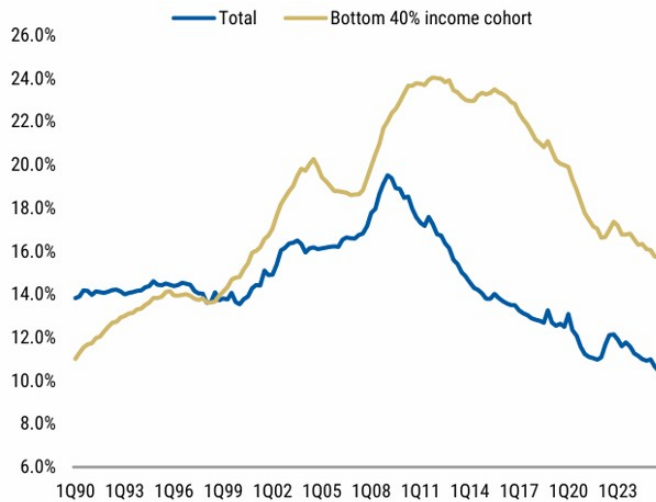
The consumer backdrop in the US remains resilient despite higher gasoline prices given the large share of consumption driven by higher income households (top 20% of earners make up 40% of consumption) as well as the ~\$65B real personal income tailwind hitting this year from the OBBBA. As the exhibits below show, household liabilities as a share of household assets continue to fall, and households' corporate equity and real estate holdings continue to grow. Further, despite falling job openings, the labor market remains on solid footing and there are signs that wage growth at the low end is stabilizing. Clearly higher gas prices are having an adverse impact on lower income consumption trends; however, given the higher income wallet share, aggregate consumer earnings expectations are actually up 3% since the Iran war started ([Exhibit 80](#)).

Interestingly, we find that Consumer Staples is more sensitive to changes in energy prices than Consumer Discretionary ([Exhibit 81](#)); this is a result of lower income households

having a larger share of staples spend vs. discretionary categories. Our relative preference for Discretionary over Staples also fits with our bullish view on the earnings cycle/ business cycle, and the fact that Discretionary earnings revisions breadth is re-accelerating ([Exhibit 83](#)).

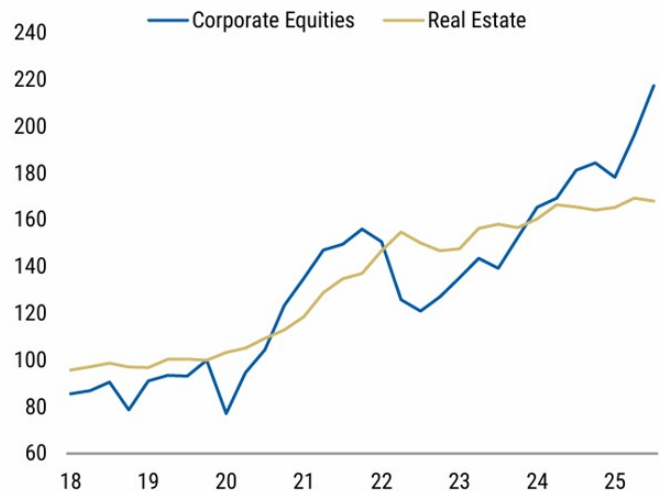
Why a preference for Discretionary Goods, in particular? For one, we're seeing signs of wallet share reversion from services to goods after multiple years of dominance the other way. In addition, consumer goods pricing is improving off of low levels, while pricing for services is decelerating. For consumer goods, this likely started as a response to tariffs, but we would argue many pockets within Discretionary needed a push to raise pricing after seeing persistent discounting for much of the past several years. Lastly, from a technical standpoint, Discretionary Goods relative performance looks to be stabilizing around 20-year+ support levels ([Exhibit 85](#)).

Exhibit 76: Household Liabilities As A Share of Household Assets Continue to Fall



Source: BEA, Federal Reserve Board, Haver Analytics, Morgan Stanley Research.

Exhibit 77: Households' Corporate Equity and Real Estate Holdings Continue to Grow



Source: Federal Reserve, Cooper and Dynan (Journal of Economic Surveys, 2016), Morgan Stanley Research.

Exhibit 78: Excess Savings Remains Elevated

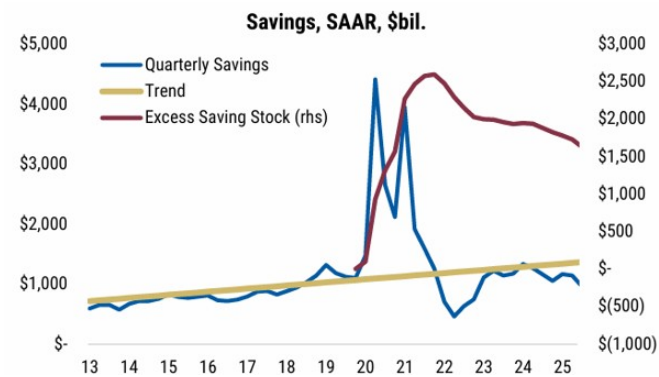


Exhibit 79: Higher Income Consumer Drives Large Share of Personal Consumption...

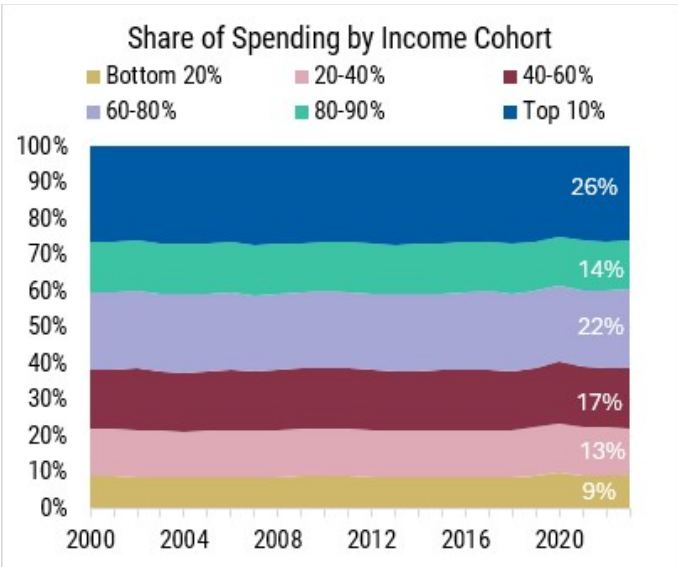


Exhibit 80: ...Which Is One Reason Why Consumer Earnings Have Held Up Despite the War

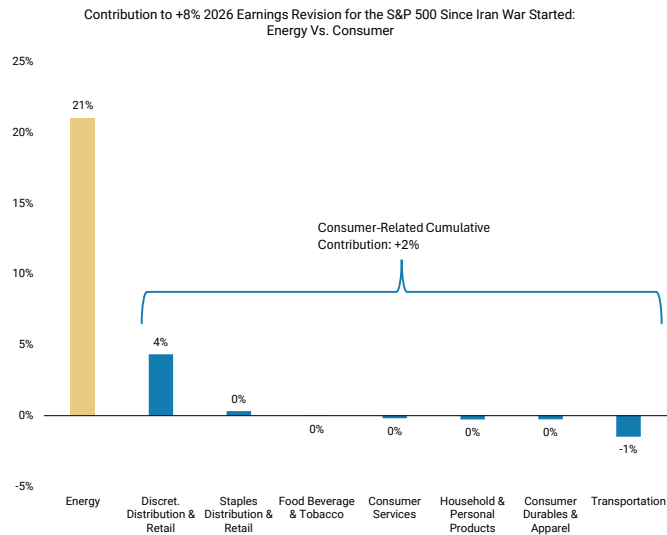


Exhibit 81: Staples Is Actually More Sensitive to Higher Gas Prices than Discretionary

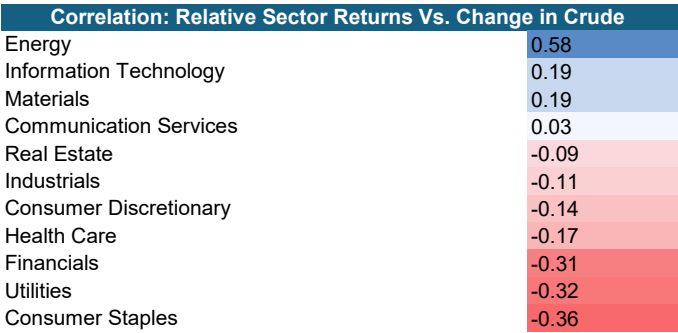
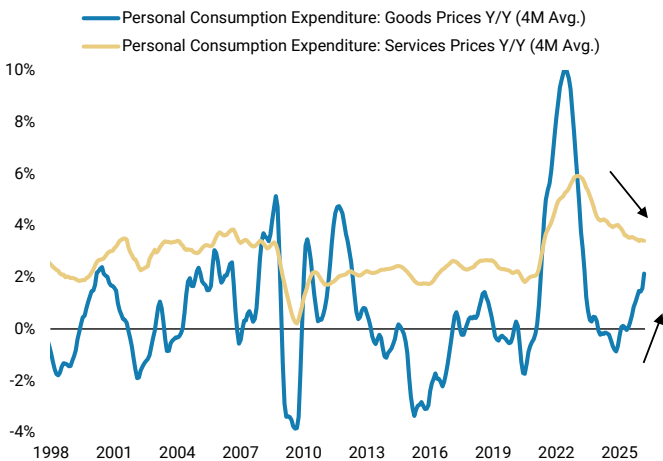


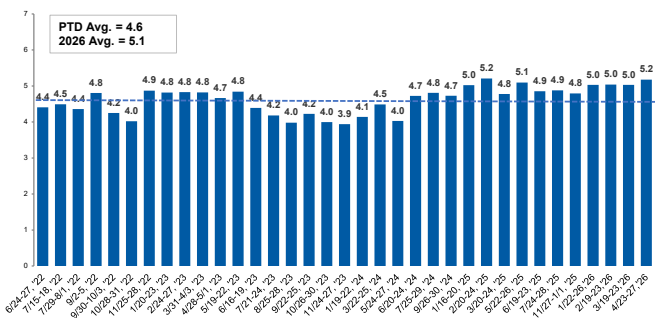
Exhibit 82: Consumer Goods Pricing Is Improving While Consumer Services Pricing Is Decelerating



Source: Haver Analytics, Morgan Stanley Research.

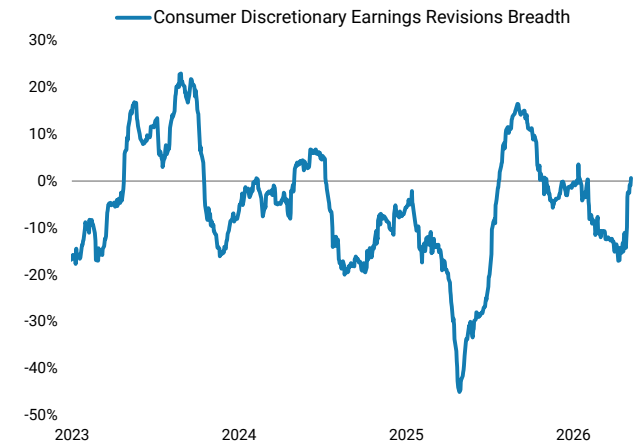
Exhibit 84: Average Months of Household Savings at Highest Level Over Past Few Years Based on Our Consumer Survey

Average (# of Months) Household Savings Reserve (Among Total)



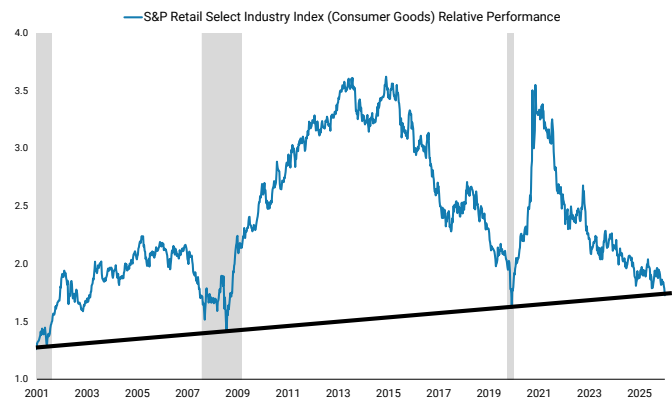
Source: Alphawise, Morgan Stanley Research.

Exhibit 83: Discretionary Earnings Revisions Breadth Inflecting



Source: FactSet, Morgan Stanley Research.

Exhibit 85: S&P Retail Select Index Has Durable Support at Current Relative Performance Levels



Source: Bloomberg, Morgan Stanley Research.

Stock Screens

Cyclicals + High Earnings Revisions + MS Overweight

We used the following screening criteria:

- Stock is a member of top 1000 US stocks by market cap universe.
- Stock is classified as cyclical based on our proprietary classification model.
- Stock is in top tercile of 1M NTM EPS revision.
- Overweight by Morgan Stanley Research Analyst

Exhibit 86: Cyclical + High Earnings Revisions + MS Overweight

Ticker	Company Name	Sector	Industry Group	Market Cap (\$MM)	Price
LYV	LIVE NATION ENTMT IN	Communication Services	Media & Entertainment	37,932	163.00
NFLX	NETFLIX INC	Communication Services	Media & Entertainment	359,813	85.45
RDDT	REDDIT INC-CL A	Communication Services	Media & Entertainment	22,645	159.51
RBLX	ROBLOX CORP -CLASS A	Communication Services	Media & Entertainment	27,744	41.31
ROKU	ROKU INC	Communication Services	Media & Entertainment	16,781	128.07
CVNA	CARVANA CO	Consumer Discretionary	Consumer Discretionary Distribution & Retail	54,603	76.23
DKNG	DRAFTKINGS INC	Consumer Discretionary	Consumer Services	12,151	24.51
BROS	DUTCH BROS INC-CLASS	Consumer Discretionary	Consumer Services	6,508	51.13
SBUX	STARBUCKS CORP	Consumer Discretionary	Consumer Services	120,512	105.74
PFGC	PERFORMANCE FOOD GRO	Consumer Staples	Consumer Staples Distribution & Retail	14,777	94.07
BG	BUNGE GLOBAL SA	Consumer Staples	Food, Beverage & Tobacco	24,473	126.14
COP	CONOCOPHILLIPS	Energy	Energy	140,774	115.55
DVN	DEVON ENERGY	Energy	Energy	53,877	46.73
FANG	DIAMONDBACK ENERGY I	Energy	Energy	55,180	196.15
XOM	EXXON MOBIL CORP	Energy	Energy	620,416	149.68
PR	PERMIAN RESOURCES CO	Energy	Energy	16,974	20.15
BAC	BANK OF AMERICA	Financials	Banks	358,733	50.55
C	CITIGROUP INC	Financials	Banks	215,821	125.85
CFG	CITIZENS FINANL	Financials	Banks	26,286	62.16
UMBF	UMB FINANCIAL CORP	Financials	Banks	9,902	130.32
ALLY	ALLY FINANCIAL INC	Financials	Financial Services	13,101	42.74
SCHW	CHARLES SCHWAB	Financials	Financial Services	152,748	87.83
CPAY	CORPAY INC	Financials	Financial Services	22,326	341.58
MA	MASTERCARD INCORPORA	Financials	Financial Services	436,597	497.81
V	VISA INC-CLASS A SHA	Financials	Financial Services	537,514	323.86
HALO	HALOZYME THERAPEUTIC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	7,868	66.41
BE	BLOOM ENERGY CORP- A	Industrials	Capital Goods	80,759	283.92
CNH	CNH INDUSTRIAL NV	Industrials	Capital Goods	13,602	10.97
CMI	CUMMINS INC	Industrials	Capital Goods	96,959	702.66
RKLB	ROCKET LAB CORP	Industrials	Capital Goods	67,916	117.35
TKR	TIMKEN CO	Industrials	Capital Goods	8,158	117.39
VRT	VERTIV HOLDINGS LLC	Industrials	Capital Goods	141,321	367.92
KNX	KNIGHT-SWIFT TRANSPO	Industrials	Transportation	10,062	61.92
ODFL	OLD DOMINION	Industrials	Transportation	40,579	195.12
R	RYDER SYSTEM INC	Industrials	Transportation	8,995	232.47
UBER	UBER TECHNOLOGIES IN	Industrials	Transportation	155,011	76.15
ALGM	ALLEGRO MICROSYSTEMS	Information Technology	Semiconductors & Semiconductor Equipment	8,966	48.39
AMAT	APPLIED MATERIALS	Information Technology	Semiconductors & Semiconductor Equipment	352,061	443.62
ALAB	ASTERA LABS INC	Information Technology	Semiconductors & Semiconductor Equipment	35,541	207.35
AVGO	BROADCOM INC	Information Technology	Semiconductors & Semiconductor Equipment	2,028,474	428.43
KLAC	KLA CORP	Information Technology	Semiconductors & Semiconductor Equipment	241,033	1845.19
MU	MICRON TECHNOLOGY IN	Information Technology	Semiconductors & Semiconductor Equipment	896,921	795.33
MKSI	MKS INC	Information Technology	Semiconductors & Semiconductor Equipment	21,595	319.71
NVDA	NVIDIA CORP	Information Technology	Semiconductors & Semiconductor Equipment	5,332,392	219.44
DOCN	DIGITALOCEAN HOLDING	Information Technology	Software & Services	16,982	162.72
SNDK	SANDISK CORP	Information Technology	Technology Hardware & Equipment	229,178	1547.56
STX	SEAGATE TECHNOLOGY H	Information Technology	Technology Hardware & Equipment	187,009	834.01
WDC	WESTERN DIGITAL	Information Technology	Technology Hardware & Equipment	177,797	515.83
AA	ALCOA CORP	Materials	Materials	17,243	65.34
LYB	LYONDELLBASELL INDUS	Materials	Materials	23,734	73.53
CBRE	CBRE GROUP INC - A	Real Estate	Real Estate Management & Development	42,783	146.11

Source: Compustat, Factset, Morgan Stanley Research

Small Caps: High Earnings Revisions Breadth + High Earnings Revisions + MS Overweight / Equal Weight

We used the following screening criteria:

- Stock is a member of bottom 500 US stocks by market cap universe.
- Stock is above median in terms of up/down earnings revisions breadth.
- Stock is above median in terms of NTM EPS revision.
- Overweight or Equal Weight by Morgan Stanley Research Analyst.

Exhibit 87: Small Caps: High Earnings Revisions Breadth + High Earnings Revisions + MS Overweight / Equal Weight

Ticker	Company Name	Sector	Industry Group	Market Cap (\$MM)	Price
BATRK	ATLANTA BRAVES HOLDI	Communication Services	Media & Entertainment	2,654	50.22
SPHR	SPHERE ENTERTAINMENT	Communication Services	Media & Entertainment	3,671	126.91
AAP	ADVANCE AUTO PARTS I	Consumer Discretionary	Consumer Discretionary Distribution & Retail	3,127	51.83
VVV	VALVOLINE INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	4,400	34.50
BC	BRUNSWICK CORP	Consumer Discretionary	Consumer Durables & Apparel	5,167	79.53
PII	POLARIS INC	Consumer Discretionary	Consumer Durables & Apparel	3,770	66.28
HGV	HILTON GRAND VACATIO	Consumer Discretionary	Consumer Services	3,672	46.04
LAUR	LAUREATE EDUCATION I	Consumer Discretionary	Consumer Services	4,577	32.70
SHAK	SHAKE SHACK IN-A	Consumer Discretionary	Consumer Services	2,597	64.50
TNL	TRAVEL + LEISURE CO	Consumer Discretionary	Consumer Services	3,971	63.61
MTN	VAIL RESORTS	Consumer Discretionary	Consumer Services	4,408	123.70
DK	DELEK US HOLDINGS IN	Energy	Energy	2,889	46.82
LBRT	LIBERTY ENERGY INC	Energy	Energy	5,449	33.39
BFH	BREAD FINANCIAL HOLD	Financials	Financial Services	3,432	84.93
HASI	HA SUSTAINABLE INFRA	Financials	Financial Services	5,237	40.98
MIAX	MIAMI INTERNATIONAL	Financials	Financial Services	4,953	52.19
SLM	SLM CORP	Financials	Financial Services	4,104	21.76
UPST	UPSTART HOLDINGS INC	Financials	Financial Services	2,746	28.69
WEX	WEX Inc	Financials	Financial Services	4,871	140.50
LMND	LEMONADE INC	Financials	Insurance	4,229	55.05
LFST	LIFESTANCE HEALTH GR	Health Care	Health Care Equipment & Services	2,975	7.67
ALMS	ALUMIS INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	2,913	23.66
APLS	APELLIS PHARMACEUTIC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	5,251	41.02
RCUS	ARCUS BIOSCIENCES IN	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	3,127	24.86
DNLI	DENALI THERAPEUTICS	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	3,122	19.67
ALH	ALLIANCE LAUNDRY HOL	Industrials	Capital Goods	5,028	25.40
KMT	KENAMETAL INC	Industrials	Capital Goods	2,825	37.07
LSTR	LANDSTAR SYS	Industrials	Transportation	6,070	178.92
BOX	BOX INC CLASS -A	Information Technology	Software & Services	3,392	24.50
GTLB	GITLAB INC-CL A	Information Technology	Software & Services	3,933	25.64
Q2WO	Q2 HOLDINGS INC	Information Technology	Software & Services	2,961	47.30
S	SENTINELONE INC -CLA	Information Technology	Software & Services	5,454	16.33
CC	CHEMOURS COMPANY	Materials	Materials	3,799	25.26
PRM	PERIMETER SOLUTIONS	Materials	Materials	5,246	32.16
PECO	PHILLIPS EDISON & CO	Real Estate	Equity Real Estate Investment Trusts (REITs)	5,003	39.71
UE	Urban Edge Prop	Real Estate	Equity Real Estate Investment Trusts (REITs)	2,743	21.77
VNO	VORNADO REALTY	Real Estate	Equity Real Estate Investment Trusts (REITs)	5,839	31.04
CWK	CUSHMAN & WAKEFIELD	Real Estate	Real Estate Management & Development	3,224	13.76
OPEN	OPENDOOR TECHNOLOGIE	Real Estate	Real Estate Management & Development	4,679	4.85
OGS	ONE GAS INC	Utilities	Utilities	5,332	84.96

Source: Compustat, Factset, Morgan Stanley Research

Large Caps: High Earnings Revisions Breadth + High Earnings Revisions + MS Overweight

We used the following screening criteria:

- Stock is a member of top 1000 US stocks by market cap universe.
- Top tercile of up/down earnings revisions breadth.
- Top tercile of 1M NTM EPS revision.
- Overweight by Morgan Stanley Research Analyst.

Exhibit 88: Large Cap Stocks: High Earnings Revisions Breadth + High Earnings Revisions + MS Overweight

Ticker	Company Name	Sector	Industry Group	Market Cap (\$MM)	Price
NFLX	NETFLIX INC	Communication Services	Media & Entertainment	359,813	85.45
RBLX	ROBLOX CORP -CLASS A	Communication Services	Media & Entertainment	27,744	41.31
ROKU	ROKU INC	Communication Services	Media & Entertainment	16,781	128.07
CVNA	CARVANA CO	Consumer Discretionary	Consumer Discretionary Distribution & Retail	54,603	76.23
CHWY	CHEWY INC - CLASS A	Consumer Discretionary	Consumer Discretionary Distribution & Retail	5,402	22.49
BKNG	BOOKING HOLDINGS INC	Consumer Discretionary	Consumer Services	122,276	157.80
SBUX	STARBUCKS CORP	Consumer Discretionary	Consumer Services	120,512	105.74
TXRH	TEXAS ROADHOUSE	Consumer Discretionary	Consumer Services	12,064	183.54
COST	COSTCO WHOLESALE	Consumer Staples	Consumer Staples Distribution & Retail	443,417	999.47
BG	BUNGE GLOBAL SA	Consumer Staples	Food, Beverage & Tobacco	24,473	126.14
SFD	SMITHFIELD FOODS INC	Consumer Staples	Food, Beverage & Tobacco	10,010	25.44
HSY	THE HERSEY COMPANY	Consumer Staples	Food, Beverage & Tobacco	28,050	183.23
CHRD	CHORD ENERGY CORP	Energy	Energy	7,886	140.07
XOM	EXXON MOBIL CORP	Energy	Energy	620,416	149.68
PR	PERMIAN RESOURCES CO	Energy	Energy	16,974	20.15
BAC	BANK OF AMERICA	Financials	Banks	358,733	50.55
C	CITIGROUP INC	Financials	Banks	215,821	125.85
CFG	CITIZENS FINANL	Financials	Banks	26,286	62.16
UMBF	UMB FINANCIAL CORP	Financials	Banks	9,902	130.32
XYZ	BLOCK INC	Financials	Financial Services	39,195	73.17
SCHW	CHARLES SCHWAB	Financials	Financial Services	152,748	87.83
CME	CME GROUP INC	Financials	Financial Services	102,395	282.58
STT	STATE STREET CORP	Financials	Financial Services	41,562	150.17
TOST	TOAST INC-CLASS A	Financials	Financial Services	12,676	24.19
V	VISA INC-CLASS A SHA	Financials	Financial Services	537,514	323.86
BTSG	BRIGHTSPRING HEALTH	Health Care	Health Care Equipment & Services	10,679	55.07
HALO	HALOZYME THERAPEUTIC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	7,868	66.41
INSM	INSMED INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	22,518	103.89
NTRA	NATERA INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	28,520	199.14
RYTM	RHYTHM PHARMACEUTICA	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	5,969	87.39
BE	BLOOM ENERGY CORP- A	Industrials	Capital Goods	80,759	283.92
CM	CUMMINS INC	Industrials	Capital Goods	96,959	702.66
FTAI	FTAI AVIATION LTD	Industrials	Capital Goods	28,760	280.36
GEV	GE VERNOVA LLC	Industrials	Capital Goods	288,358	1073.08
HWM	HOWMET AEROSPACE INC	Industrials	Capital Goods	109,461	273.58
RKLB	ROCKET LAB CORP	Industrials	Capital Goods	67,916	117.35
TKR	TIMKEN CO	Industrials	Capital Goods	8,158	117.39
VRT	VERTIV HOLDINGS LLC	Industrials	Capital Goods	141,321	367.92
WAB	WABTEC	Industrials	Capital Goods	45,496	268.13
ODFL	OLD DOMINION	Industrials	Transportation	40,579	195.12
AVGO	BROADCOM INC	Information Technology	Semiconductors & Semiconductor Equipment	2,028,474	428.43
MU	MICRON TECHNOLOGY IN	Information Technology	Semiconductors & Semiconductor Equipment	896,921	795.33
MKSI	MKS INC	Information Technology	Semiconductors & Semiconductor Equipment	21,595	319.71
U	UNITY SOFTWARE INC	Information Technology	Software & Services	11,730	26.87
SNDK	SANDISK CORP	Information Technology	Technology Hardware & Equipment	229,178	1547.56
SNX	TD SYNNEX CORP	Information Technology	Technology Hardware & Equipment	19,054	237.02
WDC	WESTERN DIGITAL	Information Technology	Technology Hardware & Equipment	177,797	515.83
AA	ALCOA CORP	Materials	Materials	17,243	65.34
LYB	LYONDELLBASELL INDUS	Materials	Materials	23,734	73.53
EQIX	EQUNIX INC	Real Estate	Equity Real Estate Investment Trusts (REITs)	107,128	1086.22
AEP	AMERICAN ELECTRIC PO	Utilities	Utilities	71,115	130.70
CEG	CONSTELLATION ENERGY	Utilities	Utilities	108,576	299.69
SRE	SEMPRA	Utilities	Utilities	60,682	92.83

Source: Compustat, Factset, Morgan Stanley Research

AI Adopters

AI High Materiality + High Pricing Power:

- AI Exposure: Adopter or Enabler & Adopter.
- AI Materiality: Core to Thesis or Significant.
- Pricing Power: High.
- Overweight by Morgan Stanley Research Analyst.

Exhibit 89: AI Adopter Screen

Ticker	Company	GICS Sector	GICS Industry	New Exposure	New Materiality	Rating	Market Cap (\$MM)	Price
AXON-US	Axon Enterprise Inc	Industrials	Capital Goods	Adopter	Core to Thesis	Overweight	31,786	394.36
TTAN-US	ServiceTitan Inc	Information Technology	Software & Services	Enabler/Adopter	Significant	Overweight	4,981	60.29
GCC-US	CCC Intelligent Solutions Holding	Information Technology	Software & Services	Enabler/Adopter	Significant	Overweight	2,864	4.88
SLB-US	Schlumberger NV	Energy	Energy	Adopter	Significant	Overweight	82,124	54.53
HAL-US	Halliburton Co	Energy	Energy	Adopter	Significant	Overweight	33,633	40.26
SEIC-US	SEI Investments Company	Financials	Financial Services	Adopter	Significant	Overweight	11,016	91.59
NVDA-US	NVIDIA Corp.	Information Technology	Semiconductors & S	Enabler/Adopter	Core to Thesis	Overweight	5,332,392	219.44
TT-US	Trane Technologies PLC	Industrials	Capital Goods	Enabler/Adopter	Core to Thesis	Overweight	105,333	476.50
GEG-US	Constellation Energy Corporation	Utilities	Utilities	Enabler/Adopter	Core to Thesis	Overweight	108,576	299.69
JCI-US	Johnson Controls International Pl	Industrials	Capital Goods	Enabler/Adopter	Core to Thesis	Overweight	86,502	141.78
VST-US	Vistra Corp	Utilities	Utilities	Enabler/Adopter	Core to Thesis	Overweight	51,269	152.05
TLN-US	Talen Energy Corp	Utilities	Utilities	Enabler/Adopter	Core to Thesis	Overweight	17,406	383.44
AAPL-US	Apple, Inc.	Information Technology	Technology Hardware	Enabler/Adopter	Significant	Overweight	4,298,695	292.88
MSFT-US	Microsoft	Information Technology	Software & Services	Enabler/Adopter	Core to Thesis	Overweight	3,065,418	412.66
NEE-US	NextEra Energy Inc	Utilities	Utilities	Enabler/Adopter	Core to Thesis	Overweight	197,774	94.84
WIX-US	Wix Com Ltd	Information Technology	Software & Services	Enabler/Adopter	Core to Thesis	Overweight	4,366	79.31
NDAQ-US	Nasdaq, Inc.	Financials	Financial Services	Enabler/Adopter	Significant	Overweight	50,039	88.48
GEV-US	GE Vernova	Industrials	Capital Goods	Enabler/Adopter	Significant	Overweight	288,358	1073.08
SHOP-CA	Shopify Inc	Information Technology	Software & Services	Enabler/Adopter	Significant	Overweight	125,267	140.28
VRTX-US	Vertex Inc.	Information Technology	Software & Services	Enabler/Adopter	Significant	Overweight	1,082	13.91
BE-US	Bloom Energy Corp.	Industrials	Capital Goods	Enabler/Adopter	Significant	Overweight	80,759	283.92
SFGL-US	S&P Global Inc	Financials	Financial Services	Enabler/Adopter	Significant	Overweight	124,616	421.00
CRM-US	Salesforce, Inc.	Information Technology	Software & Services	Enabler/Adopter	Core to Thesis	Overweight	145,196	177.49
NOW-US	ServiceNow Inc	Information Technology	Software & Services	Enabler/Adopter	Core to Thesis	Overweight	94,354	91.49
TEAM-US	Atlassian Corporation PLC	Information Technology	Software & Services	Enabler/Adopter	Significant	Overweight	13,938	87.31

Source: Factset, Morgan Stanley Research

Operational Efficiency + MS Overweight

We used the following screening criteria:

- Stock is a member of top 1000 US stocks by market cap universe.
- Top quintile of Operational Efficiency Score.
- Overweight by Morgan Stanley Research Analyst.

Exhibit 90: Operational Efficiency + MS Overweight

Ticker	Company Name	Sector	Industry Group	Market Cap (\$MM)	Price
PSKY	PARAMOUNT SKYDANCE C	Communication Services	Media & Entertainment	11,856	10.90
ROKU	ROKU INC	Communication Services	Media & Entertainment	16,781	128.07
WMG	WARNER MUSIC GROUP C	Communication Services	Media & Entertainment	4,841	32.94
CHWY	CHEWY INC - CLASS A	Consumer Discretionary	Consumer Discretionary Distribution & Retail	5,402	22.49
PAG	PENSKE AUTO GRP	Consumer Discretionary	Consumer Discretionary Distribution & Retail	11,392	173.26
W	WAYFAIR INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	6,814	61.38
HAS	HASBRO	Consumer Discretionary	Consumer Durables & Apparel	13,471	95.19
HLT	HILTON INC	Consumer Discretionary	Consumer Services	71,830	315.53
MAR	MARRIOTT INTL	Consumer Discretionary	Consumer Services	93,166	353.32
WH	WYNDHAM HOTELS & RES	Consumer Discretionary	Consumer Services	6,143	82.06
SFD	SMITHFIELD FOODS INC	Consumer Staples	Food, Beverage & Tobacco	10,010	25.44
HAL	HALLIBURTON CO	Energy	Energy	33,633	40.26
DINO	HF SINCLAIR CORP	Energy	Energy	13,126	72.81
PSX	PHILLIPS 66	Energy	Energy	70,308	175.36
ZION	ZIONS BANCORP NA	Financials	Banks	8,943	60.80
ALLY	ALLY FINANCIAL INC	Financials	Financial Services	13,101	42.74
XYZ	BLOCK INC	Financials	Financial Services	39,195	73.17
STT	STATE STREET CORP	Financials	Financial Services	41,562	150.17
LNC	LINCOLN NATL CP	Financials	Insurance	6,648	34.77
BTSG	BRIGHTSPRING HEALTH	Health Care	Health Care Equipment & Services	10,679	55.07
CI	CIGNA GROUP/THE	Health Care	Health Care Equipment & Services	76,468	289.07
CVS	CVS HEALTH CORP	Health Care	Health Care Equipment & Services	117,666	92.22
IDXX	IDEXX LABS	Health Care	Health Care Equipment & Services	41,966	532.00
MCK	MCKESSON CORP	Health Care	Health Care Equipment & Services	87,168	725.17
UNH	UNITEDHEALTH GRP	Health Care	Health Care Equipment & Services	349,127	384.44
ABBV	ABBVIE INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	358,270	202.78
GILD	GILEAD SCIENCES INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	165,774	133.52
JAZZ	JAZZ PHARMACEUTICALS	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	14,030	223.61
BE	BLOOM ENERGY CORP- A	Industrials	Capital Goods	80,759	283.92
GD	GENERAL DYNAMICS COR	Industrials	Capital Goods	93,036	344.03
HWM	HOWMET AEROSPACE INC	Industrials	Capital Goods	109,461	273.58
ROK	ROCKWELL AUTOMATION	Industrials	Capital Goods	50,814	456.66
RTX	RTX CORP	Industrials	Capital Goods	240,531	178.61
TEX	TEREX CORP	Industrials	Capital Goods	7,324	64.13
ALGM	ALLEGRO MICROSYSTEMS	Information Technology	Semiconductors & Semiconductor Equipment	8,966	48.39
FSLR	FIRST SOLAR INC	Information Technology	Semiconductors & Semiconductor Equipment	25,066	233.27
KLAC	KLA CORP	Information Technology	Semiconductors & Semiconductor Equipment	241,033	1845.19
MU	MICRON TECHNOLOGY IN	Information Technology	Semiconductors & Semiconductor Equipment	896,921	795.33
MKSI	MKS INC	Information Technology	Semiconductors & Semiconductor Equipment	21,595	319.71
APP	APPROVIN CORP-CLASS	Information Technology	Software & Services	146,422	478.42
SNDK	SANDISK CORP	Information Technology	Technology Hardware & Equipment	229,178	1547.56
STX	SEAGATE TECHNOLOGY H	Information Technology	Technology Hardware & Equipment	187,009	834.01
WDC	WESTERN DIGITAL	Information Technology	Technology Hardware & Equipment	177,797	515.83
LYB	LYONDELLBASELL INDUS	Materials	Materials	23,734	73.53
SW	SMURFIT WESTROCK PLC	Materials	Materials	21,451	40.90
AMH	AMERICAN HOMES 4 REN	Real Estate	Equity Real Estate Investment Trusts (REITs)	11,639	32.05
EQR	EQUITY RESIDENTIAL	Real Estate	Equity Real Estate Investment Trusts (REITs)	24,796	66.18
RHP	RYMAN HOSPITALITY PR	Real Estate	Equity Real Estate Investment Trusts (REITs)	6,860	108.70
DTE	DTE ENERGY	Utilities	Utilities	29,629	142.43
PEG	PUBLIC SERVICE ENTER	Utilities	Utilities	38,710	77.68
TLN	TALAN ENERGY CORP	Utilities	Utilities	17,406	383.44

Source: Compustat, Factset, Morgan Stanley Research

High Quality Growth + MS Overweight

We used the following screening criteria:

- Stock is a member of top 1000 US stocks by market cap universe.
- Above median Quality Composite Score.
- Classified as Growth based on our proprietary classification model.
- Overweight by Morgan Stanley Research Analyst.

Exhibit 91: High Quality Growth + MS Overweight

Ticker	Company Name	Sector	Industry Group	Market Cap (\$MM)	Price
GOOGL	ALPHABET INC CLASS A	Communication Services	Media & Entertainment	2,263,439	388.64
META	META PLATFORMS INC	Communication Services	Media & Entertainment	1,315,124	598.86
NFLX	NETFLIX INC	Communication Services	Media & Entertainment	359,813	85.45
RDDT	REDDIT INC-CL A	Communication Services	Media & Entertainment	22,645	159.51
TTWO	TAKE TWO	Communication Services	Media & Entertainment	41,011	221.47
AMZN	AMAZON.COM INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	2,893,555	268.99
CHWY	CHEWY INC - CLASS A	Consumer Discretionary	Consumer Discretionary Distribution & Retail	5,402	22.49
EBAY	EBAY INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	48,010	108.13
ULTA	ULTA BEAUTY INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	22,392	511.98
W	WAYFAIR INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	6,814	61.38
BKNG	BOOKING HOLDINGS INC	Consumer Discretionary	Consumer Services	122,276	157.80
CMG	CHIPOTLE MEXICAN GRI	Consumer Discretionary	Consumer Services	40,945	31.92
DKNG	DRAFTKINGS INC	Consumer Discretionary	Consumer Services	12,151	24.51
COST	COSTCO WHOLESALE	Consumer Staples	Consumer Staples Distribution & Retail	443,417	999.47
MNST	MONSTER BEVERAGE COR	Consumer Staples	Food, Beverage & Tobacco	84,510	86.41
TRGP	TARGA RESOURCES CORP	Energy	Energy	54,344	253.18
WMB	WILLIAMS COS INC	Energy	Energy	90,722	74.18
MA	MASTERCARD INCORPORA	Financials	Financial Services	436,597	497.81
V	VISA INC-CLASS A SHA	Financials	Financial Services	537,514	323.86
AON	AON PLC	Financials	Insurance	66,651	312.07
GH	GUARDANT HEALTH INC	Health Care	Health Care Equipment & Services	12,824	96.71
IDXX	IDEXX LABS	Health Care	Health Care Equipment & Services	41,966	532.00
MCK	MCKESSON CORP	Health Care	Health Care Equipment & Services	87,168	725.17
ABBV	ABBVIE INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	358,270	202.78
HALO	HALOZYME THERAPEUTIC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	7,868	66.41
MIRM	MIRUM PHARMACEUTICAL	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	6,474	106.17
BE	BLOOM ENERGY CORP- A	Industrials	Capital Goods	80,759	283.92
CMI	CUMMINS INC	Industrials	Capital Goods	96,959	702.66
CW	CURTISS-WRIGHT	Industrials	Capital Goods	26,915	728.58
ETN	EATON CORP PLC	Industrials	Capital Goods	162,698	419.00
HWM	HOWMET AEROSPACE INC	Industrials	Capital Goods	109,461	273.58
JCI	JOHNSON CONTROLS INT	Industrials	Capital Goods	86,502	141.78
ROK	ROCKWELL AUTOMATION	Industrials	Capital Goods	50,814	456.66
TT	TRANE TECHNOLOGIES P	Industrials	Capital Goods	105,333	476.50
VRT	VERTIV HOLDINGS LLC	Industrials	Capital Goods	141,321	367.92
EFX	EQUIFAX INC	Industrials	Commercial & Professional Services	19,983	167.82
ROL	ROLLINS INC	Industrials	Commercial & Professional Services	25,460	52.88
ODFL	OLD DOMINION	Industrials	Transportation	40,579	195.12
ALGM	ALLEGRO MICROSYSTEMS	Information Technology	Semiconductors & Semiconductor Equipment	8,966	48.39
ALAB	ASTERA LABS INC	Information Technology	Semiconductors & Semiconductor Equipment	35,541	207.35
AVGO	BROADCOM INC	Information Technology	Semiconductors & Semiconductor Equipment	2,028,474	428.43
KLAC	KLA CORP	Information Technology	Semiconductors & Semiconductor Equipment	241,033	1845.19
MU	MICRON TECHNOLOGY IN	Information Technology	Semiconductors & Semiconductor Equipment	896,921	795.33
NVDA	NVIDIA CORP	Information Technology	Semiconductors & Semiconductor Equipment	5,332,392	219.44
APP	APPROVIN CORP-CLASS	Information Technology	Software & Services	146,422	478.42
TEAM	ATLASSIAN CORP	Information Technology	Software & Services	13,938	87.31
ADSK	AUTODESK INC	Information Technology	Software & Services	49,845	236.07
HUBS	HUBSPOT INC	Information Technology	Software & Services	9,800	191.34
FROG	JFROG LTD	Information Technology	Software & Services	8,358	69.01
MDB	MONGODB INC	Information Technology	Software & Services	23,681	294.65
PANW	PALO ALTO NETWORK IN	Information Technology	Software & Services	174,347	213.66
NOW	SERVICENOW	Information Technology	Software & Services	94,354	91.49
SHOP	SHOPIFY INC - CLASS	Information Technology	Software & Services	125,718	102.54
AAPL	APPLE INC	Information Technology	Technology Hardware & Equipment	4,298,695	292.68
ANET	ARISTA NETWORKS	Information Technology	Technology Hardware & Equipment	171,793	136.43
SNDK	SANDISK CORP	Information Technology	Technology Hardware & Equipment	229,178	1547.66
STX	SEAGATE TECHNOLOGY H	Information Technology	Technology Hardware & Equipment	187,009	834.01
WDC	WESTERN DIGITAL	Information Technology	Technology Hardware & Equipment	177,797	515.83
ECL	ECOLAB INC	Materials	Materials	70,669	251.10
LIN	LINDE PLC	Materials	Materials	233,335	504.40
SHW	The Sherwin-Williams	Materials	Materials	77,123	312.70
TLN	TALEN ENERGY CORP	Utilities	Utilities	17,406	383.44

Source: Compustat, Factset, Morgan Stanley Research

High Alpha + MS Overweight

We used the following screening criteria:

- Stock is a member of top 1000 US stocks by market cap universe.
- Stock is in top quintile of alpha- defined as the residual after removing the effect of market (equal weighted top 1000) beta from a cross sectional regression over a rolling 5Y window. Stocks are ranked across the market.
- Overweight by Morgan Stanley Research Analyst

Exhibit 92: High Alpha + MS Overweight

Ticker	Company Name	Sector	Industry Group	Market Cap (\$MM)	Price
GOOGL	ALPHABET INC CLASS A	Communication Services	Media & Entertainment	2,263,439	388.64
TKO	TKO GROUP HOLDINGS I	Communication Services	Media & Entertainment	13,832	184.50
AZO	AUTOZONE INC.	Consumer Discretionary	Consumer Discretionary Distribution & Retail	56,479	3427.80
DKS	DICKS SPORTING GOODS	Consumer Discretionary	Consumer Discretionary Distribution & Retail	14,421	220.25
ORLY	O REILLY AUTOMOTIVE	Consumer Discretionary	Consumer Discretionary Distribution & Retail	75,703	91.35
COST	COSTCO WHOLESALE	Consumer Staples	Consumer Staples Distribution & Retail	443,417	999.47
CELH	CELSIUS HOLDINGS INC	Consumer Staples	Food, Beverage & Tobacco	7,833	30.64
AR	ANTERO RSRCS CRP	Energy	Energy	11,337	36.59
LNG	CHENIERE ENERGY	Energy	Energy	50,439	240.70
COP	CONOCOPHILLIPS	Energy	Energy	140,774	115.55
DVN	DEVON ENERGY	Energy	Energy	53,877	46.73
FANG	DIAMONDBACK ENERGY I	Energy	Energy	55,180	196.15
EQT	EQT CORP	Energy	Energy	35,308	56.45
XOM	EXXON MOBIL CORP	Energy	Energy	620,416	149.68
HAL	HALLIBURTON CO	Energy	Energy	33,633	40.26
DINO	HF SINCLAIR CORP	Energy	Energy	13,126	72.81
MPC	MARATHON PETROLEUM C	Energy	Energy	73,708	252.48
PSX	PHILLIPS 66	Energy	Energy	70,308	175.36
SLB	SLB LTD	Energy	Energy	82,124	54.93
TRGP	TARGA RESOURCES CORP	Energy	Energy	54,344	253.18
WMB	WILLIAMS COS INC	Energy	Energy	90,722	74.18
LPLA	LPL FINANCIAL HOLDIN	Financials	Financial Services	23,118	289.04
CAH	CARDINAL HEALTH	Health Care	Health Care Equipment & Services	42,743	182.50
COR	CENCORA INC	Health Care	Health Care Equipment & Services	50,528	259.70
MCK	MCKESSON CORP	Health Care	Health Care Equipment & Services	87,168	725.17
THC	TENET HEALTHCARE	Health Care	Health Care Equipment & Services	16,511	191.68
ABBV	ABBVIE INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	358,270	202.78
ARWR	ARROWHEAD PHARMACEUT	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	10,950	77.74
LLY	ELI LILLY & CO	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	910,655	966.99
GILD	GILEAD SCIENCES INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	165,774	133.52
INSM	INSMED INC	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	22,518	103.89
IONS	IONIS PHARMACEUTICAL	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	12,457	75.38
PTCT	PTC THERAPEUTICS	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	6,375	76.85
AXON	AXON ENTERPRISE INC.	Industrials	Capital Goods	31,786	394.36
BE	BLOOM ENERGY CORP- A	Industrials	Capital Goods	80,759	283.92
CW	CURTISS-WRIGHT	Industrials	Capital Goods	26,915	728.58
ETN	EATON CORP PLC	Industrials	Capital Goods	162,698	419.00
HWM	HOWMET AEROSPACE INC	Industrials	Capital Goods	109,461	273.58
RTX	RTX CORP	Industrials	Capital Goods	240,531	178.61
TT	TRANE TECHNOLOGIES P	Industrials	Capital Goods	105,333	476.50
VRT	VERTIV HOLDINGS LLC	Industrials	Capital Goods	141,321	367.92
WAB	WABTEC	Industrials	Capital Goods	45,496	268.13
R	RYDER SYSTEM INC	Industrials	Transportation	8,995	232.47
ADI	ANALOG DEVICES	Information Technology	Semiconductors & Semiconductor Equipment	206,379	422.73
AMAT	APPLIED MATERIALS	Information Technology	Semiconductors & Semiconductor Equipment	352,061	443.62
AVGO	BROADCOM INC	Information Technology	Semiconductors & Semiconductor Equipment	2,028,474	428.43
FSLR	FIRST SOLAR INC	Information Technology	Semiconductors & Semiconductor Equipment	25,066	233.27
KLAC	KLA CORP	Information Technology	Semiconductors & Semiconductor Equipment	241,033	1845.19
MU	MICRON TECHNOLOGY IN	Information Technology	Semiconductors & Semiconductor Equipment	896,921	795.33
NVDA	NVIDIA CORP	Information Technology	Semiconductors & Semiconductor Equipment	5,332,392	219.44
CDNS	CADENCE DESIGN SYSTE	Information Technology	Software & Services	100,452	364.20
NET	CLOUDFLARE INC - CLA	Information Technology	Software & Services	61,457	193.52
CRWD	CROWDSTRIKE HOLDINGS	Information Technology	Software & Services	137,525	542.26
PANW	PALO ALTO NETWORK IN	Information Technology	Software & Services	174,347	213.66
ANET	ARISTA NETWORKS	Information Technology	Technology Hardware & Equipment	171,793	136.43
STX	SEAGATE TECHNOLOGY H	Information Technology	Technology Hardware & Equipment	187,009	834.01
WDC	WESTERN DIGITAL	Information Technology	Technology Hardware & Equipment	177,797	515.83
WELL	WELLTOWER INC	Real Estate	Equity Real Estate Investment Trusts (REITs)	151,659	214.84
VST	VISTRA CORP	Utilities	Utilities	51,269	152.05

Source: Compustat, Factset, Morgan Stanley Research

Financials, Industrials, Consumer Discretionary Goods + MS Overweight

We used the following screening criteria:

- Stock is a member of Top 1000.
- Stock is within Consumer Discretionary (excluding Consumer Services), Financials, and Industrials sectors.
- Stock is rated as Overweight by MS analyst.

Exhibit 93: Financials, Industrials, Consumer Discretionary Goods + MS Overweight

Ticker	Company Name	Sector	Industry Group	Market Cap (\$MM)	Price
APTV	APTIV HOLDINGS LTD	Consumer Discretionary	Automobiles & Components	11,726	55.41
GM	GENERAL MOTORS	Consumer Discretionary	Automobiles & Components	67,886	75.29
AMZN	AMAZON.COM INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	2,893,555	268.99
AN	AUTONATION	Consumer Discretionary	Consumer Discretionary Distribution & Retail	6,708	200.48
AZO	AUTOZONE INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	56,479	3427.80
CVNA	CARVANA CO	Consumer Discretionary	Consumer Discretionary Distribution & Retail	54,603	76.23
CHWY	CHEWY INC - CLASS A	Consumer Discretionary	Consumer Discretionary Distribution & Retail	5,402	22.49
DKS	DICKS SPORTING GOODS	Consumer Discretionary	Consumer Discretionary Distribution & Retail	14,421	220.25
EBAY	EBAY INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	48,010	108.13
HD	HOME DEPOT	Consumer Discretionary	Consumer Discretionary Distribution & Retail	310,163	311.40
LOW	LOWES COMPANIES	Consumer Discretionary	Consumer Discretionary Distribution & Retail	126,608	226.06
ORLY	O REILLY AUTOMOTIVE	Consumer Discretionary	Consumer Discretionary Distribution & Retail	75,703	91.35
PAG	PENSKE AUTO GRP	Consumer Discretionary	Consumer Discretionary Distribution & Retail	11,392	173.26
ULTA	ULTA BEAUTY INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	22,392	511.98
W	WAYFAIR INC	Consumer Discretionary	Consumer Discretionary Distribution & Retail	6,814	61.38
HAS	HASBRO	Consumer Discretionary	Consumer Durables & Apparel	13,471	95.19
BAC	BANK OF AMERICA	Financials	Banks	358,733	50.55
C	CITIGROUP INC	Financials	Banks	215,821	125.85
CFG	CITIZENS FINANL	Financials	Banks	26,286	62.16
FTB	FIFTH THR BNCP	Financials	Banks	44,092	48.65
HBAN	HUNGTN BKSHR	Financials	Banks	32,353	15.96
PB	PRSPRTY BNCSHRS	Financials	Banks	6,902	68.45
TFC	TRUIST FINANCIAL COR	Financials	Banks	59,765	47.97
UMBF	UMB FINANCIAL CORP	Financials	Banks	9,902	130.32
ZION	ZIONS BANCORP NA	Financials	Banks	8,943	60.80
AFRM	AFFIRM HOLDINGS INC	Financials	Financial Services	19,431	66.45
ALLY	ALLY FINANCIAL INC	Financials	Financial Services	13,101	42.74
APO	APOLLO GLOBAL MANAGE	Financials	Financial Services	75,212	130.46
BLK	BLACKROCK FUNDING IN	Financials	Financial Services	167,999	1081.32
BX	BLACKSTONE INC	Financials	Financial Services	90,186	121.40
XYZ	BLOCK INC	Financials	Financial Services	39,195	73.17
COF	CAPITAL ONE FINANCIA	Financials	Financial Services	114,458	183.93
SCHW	CHARLES SCHWAB	Financials	Financial Services	152,748	87.83
CME	CME GROUP INC	Financials	Financial Services	102,395	282.58
CPAY	CORPAY INC	Financials	Financial Services	22,326	341.58
HUI	HOUJIAN LOKEY	Financials	Financial Services	8,105	148.85
KKR	KKR & CO INC	Financials	Financial Services	89,302	99.46
LPLA	LPL FINANCIAL HOLDIN	Financials	Financial Services	23,118	289.04
MA	MASTERCARD INCORPORA	Financials	Financial Services	436,597	497.81
MSCI	MSCI CLASS A	Financials	Financial Services	42,561	584.63
NDAQ	NASDAQ INC	Financials	Financial Services	50,039	88.48
SPGI	S&P GLOBAL INC	Financials	Financial Services	124,616	421.00
SEIC	SEI INVEST CO	Financials	Financial Services	11,016	91.59
STT	STATE STREET CORP	Financials	Financial Services	41,562	150.17
TOST	TOAST INC-CLASS A	Financials	Financial Services	12,676	24.19
V	VISA INC-CLASS A SHA	Financials	Financial Services	537,514	323.86
VOYA	VOYA FINANCIAL INC	Financials	Financial Services	7,265	80.13
AON	AON PLC	Financials	Insurance	66,651	312.07
GL	GLOBE LIFE INC	Financials	Insurance	11,946	153.86
LNC	LINCOLN NATL CP	Financials	Insurance	6,648	34.77
MET	METLIFE INC	Financials	Insurance	50,175	77.98
AYI	ACUTY INC	Industrials	Capital Goods	8,780	289.62
AXON	AXON ENTERPRISE INC.	Industrials	Capital Goods	31,786	394.36
BE	BLOOM ENERGY CORP- A	Industrials	Capital Goods	80,759	283.92
CNH	CNH INDUSTRIAL NV	Industrials	Capital Goods	13,602	10.97
CMI	CUMMINS INC	Industrials	Capital Goods	96,959	702.66
CW	CURTISS-WRIGHT	Industrials	Capital Goods	26,915	728.58
DE	DEERE & CO	Industrials	Capital Goods	159,023	588.74
ETN	EATON CORP PLC	Industrials	Capital Goods	162,698	419.00
FTAI	FTAI AVIATION LTD	Industrials	Capital Goods	28,760	280.36
GEV	GE VERNOVA LLC	Industrials	Capital Goods	288,358	1073.08
GD	GENERAL DYNAMICS COR	Industrials	Capital Goods	93,036	344.03
HWM	HOWMET AEROSPACE INC	Industrials	Capital Goods	109,461	273.58
JCI	JOHNSON CONTROLS INT	Industrials	Capital Goods	86,502	141.78
LHX	L3HARRIS TECHNOLOGIE	Industrials	Capital Goods	56,326	302.35
NOC	NORTHROP GRUMMAN COR	Industrials	Capital Goods	77,864	548.21
RBC	RBC BEARINGS INC	Industrials	Capital Goods	19,401	613.59
RKLB	ROCKET LAB CORP	Industrials	Capital Goods	67,916	117.35
ROK	ROCKWELL AUTOMATION	Industrials	Capital Goods	50,814	456.66
RTX	RTX CORP	Industrials	Capital Goods	240,531	178.61
TEX	TEREX CORP	Industrials	Capital Goods	7,324	64.13
TKR	TIMKEN CO	Industrials	Capital Goods	8,158	117.39
TT	TRANE TECHNOLOGIES P	Industrials	Capital Goods	105,333	476.50
TDG	TRANSDIGM GROUP INC	Industrials	Capital Goods	67,046	1198.67
URI	UNITED RENTAL	Industrials	Capital Goods	58,772	938.15
VRT	VERTIV HOLDINGS LLC	Industrials	Capital Goods	141,321	367.92
WAB	WABTEC	Industrials	Capital Goods	45,496	268.13
EFX	EQUIFAX INC	Industrials	Commercial & Professional Services	19,983	167.82
ROL	ROLLINS INC	Industrials	Commercial & Professional Services	25,460	52.88
TRU	TRANSUNION	Industrials	Commercial & Professional Services	13,494	69.99
WCN	WASTE CONNECTIONS IN	Industrials	Commercial & Professional Services	38,361	150.98
AAL	AMERICAN AIRLINES GR	Industrials	Transportation	8,459	12.79
DAL	DELTA AIRLINES INC	Industrials	Transportation	46,778	71.20
GXO	GXO LOGISTICS INC	Industrials	Transportation	5,847	50.82
KNX	KNIGHT-SWIFT TRANSPO	Industrials	Transportation	10,062	61.92
ODFL	OLD DOMINION	Industrials	Transportation	40,579	195.12
R	RYDER SYSTEM INC	Industrials	Transportation	8,985	232.47
LUV	SOUTHWEST AIRLINES	Industrials	Transportation	19,546	39.99
UBER	UBER TECHNOLOGIES IN	Industrials	Transportation	155,011	76.15
UAL	UNITED AIRLINES HOLD	Industrials	Transportation	31,360	96.62

Source: Compustat, Factset, Morgan Stanley Research

Appendix: Sector Preferences Summary

Exhibit 94: Sector Recommendations

Morgan Stanley Sector Recommendations			
Overweight	Financials	Industrials	Consumer Discretionary Goods
Equal Weight	Tech	Comm. Services	Health Care
	Materials	Utilities	Consumer Services
	Energy		
Underweight	Staples	Real Estate	

Source: Morgan Stanley Research

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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